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# UNITED STATES
# SECURITIES AND EXCHANGE COMMISSION
**Washington, D.C. 20549**

# FORM 10-Q

☒ **Quarterly report pursuant to Section 13 or 15(d) of the Securities Exchange Act of 1934**

**For the quarterly period ended March 29, 2026**

**or**

☐ **Transition report pursuant to Section 13 or 15(d) of the Securities Exchange Act of 1934**

**For the transition period from to**

**Commission file number: 001-11499**

# WATTS WATER TECHNOLOGIES, INC.
(Exact Name of Registrant as Specified in Its Charter)

| **Delaware** (State or Other Jurisdiction of Incorporation or Organization) | **04-2916536** (I.R.S. Employer Identification No.) |
|---|---|
| **815 Chestnut Street, North Andover, MA** (Address of Principal Executive Offices) | **01845** (Zip Code) |

**(978) 688-1811**
(Registrant's Telephone Number, Including Area Code)

(Former Name, Former Address and Former Fiscal Year, if Changed Since Last Report)

Securities registered pursuant to Section 12(b) of the Act:

| Title of each class | Trading Symbol(s) | Name of each exchange on which registered |
|---|---|---|
| Class A common stock, par value $0.10 per share | WTS | New York Stock Exchange |

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act.

| | |
|---|---|
| Large accelerated filer ☒ | Accelerated filer ☐ |
| Non-accelerated filer ☐ | Smaller reporting company ☐ |
| | Emerging growth company ☐ |

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). Yes ☐ No ☒

Indicate the number of shares outstanding of each of the issuer's classes of common stock, as of the latest practicable date.

| **Class** | **Outstanding at April 26, 2026** |
|---|---|
| Class A Common Stock, $0.10 par value | 27,474,600 |
| Class B Common Stock, $0.10 par value | 5,916,290 |

**WATTS WATER TECHNOLOGIES, INC. AND SUBSIDIARIES**

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PART I. FINANCIAL INFORMATION

**ITEM 1. Financial Statements**

WATTS WATER TECHNOLOGIES, INC. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(Amounts in millions, except share information)
(Unaudited)

| | March 29, 2026 | December 31, 2025 |
|---|---|---|
| **ASSETS** | | |
| CURRENT ASSETS: | | |
| Cash and cash equivalents | **$ 374.7** | $ 405.5 |
| Trade accounts receivable, less reserve allowances of $15.1 million at March 29, 2026 and $12.5 million at December 31, 2025 | **374.4** | 294.0 |
| Inventories, net: | | |
| Raw materials | **208.5** | 190.8 |
| Work in process | **28.1** | 28.5 |
| Finished goods | **306.5** | 305.0 |
| Total Inventories | **543.1** | 524.3 |
| Prepaid expenses and other current assets | **55.9** | 62.3 |
| Total Current Assets | **1,348.1** | 1,286.1 |
| PROPERTY, PLANT AND EQUIPMENT | | |
| Property, plant and equipment, at cost | **781.1** | 777.1 |
| Accumulated depreciation | **(484.7)** | (480.0) |
| Property, plant and equipment, net | **296.4** | 297.1 |
| OTHER ASSETS: | | |
| Goodwill | **859.6** | 859.0 |
| Intangible assets, net | **286.8** | 294.6 |
| Deferred income taxes | **19.4** | 17.9 |
| Other, net | **129.5** | 126.5 |
| TOTAL ASSETS | **$ 2,939.8** | $ 2,881.2 |
| **LIABILITIES AND STOCKHOLDERS' EQUITY** | | |
| CURRENT LIABILITIES: | | |
| Accounts payable | **$ 188.9** | $ 182.2 |
| Accrued expenses and other liabilities | **234.2** | 234.7 |
| Accrued compensation and benefits | **72.9** | 95.5 |
| Total Current Liabilities | **496.0** | 512.4 |
| LONG-TERM DEBT | **197.8** | 197.7 |
| DEFERRED INCOME TAXES | **42.5** | 36.5 |
| OTHER NONCURRENT LIABILITIES | **107.2** | 106.9 |
| STOCKHOLDERS' EQUITY: | | |
| Preferred Stock, $0.10 par value; 5,000,000 shares authorized; no shares issued or outstanding | — | — |
| Class A common stock, $0.10 par value; 120,000,000 shares authorized; 1 vote per share; issued and outstanding, 27,478,641 shares at March 29, 2026 and 27,426,533 shares at December 31, 2025 | **2.7** | 2.7 |
| Class B common stock, $0.10 par value; 25,000,000 shares authorized; 10 votes per share; issued and outstanding, 5,916,290 shares at March 29, 2026 and December 31, 2025 | **0.6** | 0.6 |
| Additional paid-in capital | **728.6** | 720.6 |
| Retained earnings | **1,496.8** | 1,431.3 |
| Accumulated other comprehensive loss | **(132.4)** | (127.5) |
| Total Stockholders' Equity | **2,096.3** | 2,027.7 |
| TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY | **$ 2,939.8** | $ 2,881.2 |

See accompanying notes to consolidated financial statements.

WATTS WATER TECHNOLOGIES, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF OPERATIONS
(Amounts in millions, except per share information)
(Unaudited)

| | First Quarter Ended | |
|---|---|---|
| | March 29, 2026 | March 30, 2025 |
| Net sales | **$ 677.3** | $ 558.0 |
| Cost of goods sold | **351.2** | 285.5 |
| GROSS PROFIT | **326.1** | 272.5 |
| Selling, general and administrative expenses | **192.9** | 167.5 |
| Restructuring | **0.2** | 17.3 |
| OPERATING INCOME | **133.0** | 87.7 |
| Other (income) expense: | | |
| Interest income | **(1.7)** | (2.3) |
| Interest expense | **2.6** | 2.7 |
| Other expense, net | **0.7** | 0.4 |
| Total other expense | **1.6** | 0.8 |
| INCOME BEFORE INCOME TAXES | **131.4** | 86.9 |
| Provision for income taxes | **31.8** | 12.9 |
| NET INCOME | **$ 99.6** | $ 74.0 |
| **Basic EPS** | | |
| NET INCOME PER SHARE | **$ 2.97** | $ 2.21 |
| Weighted average number of shares | **33.5** | 33.5 |
| **Diluted EPS** | | |
| NET INCOME PER SHARE | **$ 2.97** | $ 2.21 |
| Weighted average number of shares | **33.5** | 33.5 |
| Dividends declared per share | **$ 0.52** | $ 0.43 |

See accompanying notes to consolidated financial statements.

WATTS WATER TECHNOLOGIES, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(Amounts in millions)
(Unaudited)

| | First Quarter Ended | |
|---|---|---|
| | **March 29, 2026** | **March 30, 2025** |
| Net income | **$ 99.6** | $ 74.0 |
| Other comprehensive (loss) income, net of tax: | | |
| Foreign currency translation adjustments | **(4.3)** | 14.4 |
| Cash flow hedges | **(0.6)** | (0.7) |
| Other comprehensive (loss) income | **(4.9)** | 13.7 |
| Comprehensive income | **$ 94.7** | $ 87.7 |

See accompanying notes to consolidated financial statements.

WATTS WATER TECHNOLOGIES, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY
(Dollars in millions)
(Unaudited)

| *(For the first quarter ended March 29, 2026)* | Class A Common Stock Shares | Class A Common Stock Amount | Class B Common Stock Shares | Class B Common Stock Amount | Additional Paid-In Capital | Retained Earnings | Accumulated Other Comprehensive Loss | Total Stockholders' Equity |
|---|---|---|---|---|---|---|---|---|
| **Balance at December 31, 2025** | **27,426,533** | **$ 2.7** | **5,916,290** | **$ 0.6** | **$ 720.6** | **$ 1,431.3** | **$ (127.5)** | **$ 2,027.7** |
| **Net income** | **—** | **—** | **—** | **—** | **—** | **99.6** | **—** | **99.6** |
| **Other comprehensive loss** | **—** | **—** | **—** | **—** | **—** | **—** | **(4.9)** | **(4.9)** |
| **Comprehensive income** | | | | | | | | **94.7** |
| **Stock-based compensation** | **—** | **—** | **—** | **—** | **5.2** | **—** | **—** | **5.2** |
| **Stock repurchase** | **(12,652)** | **—** | **—** | **—** | **—** | **(3.8)** | **—** | **(3.8)** |
| **Net change in restricted and performance stock units** | **64,760** | **—** | **—** | **—** | **2.8** | **(12.8)** | **—** | **(10.0)** |
| **Common stock dividends** | **—** | **—** | **—** | **—** | **—** | **(17.5)** | **—** | **(17.5)** |
| **Balance at March 29, 2026** | **27,478,641** | **$ 2.7** | **5,916,290** | **$ 0.6** | **$ 728.6** | **$ 1,496.8** | **$ (132.4)** | **$ 2,096.3** |

| *(For the first quarter ended March 30, 2025)* | Class A Common Stock Shares | Class A Common Stock Amount | Class B Common Stock Shares | Class B Common Stock Amount | Additional Paid-In Capital | Retained Earnings | Accumulated Other Comprehensive Loss | Total Stockholders' Equity |
|---|---|---|---|---|---|---|---|---|
| Balance at December 31, 2024 | 27,366,685 | $ 2.7 | 5,953,290 | $ 0.6 | $ 696.2 | $ 1,184.8 | $ (176.4) | $ 1,707.9 |
| Net income | — | — | — | — | — | 74.0 | — | 74.0 |
| Other comprehensive income | — | — | — | — | — | — | 13.7 | 13.7 |
| Comprehensive income | | | | | | | | 87.7 |
| Stock-based compensation | — | — | — | — | 2.9 | — | — | 2.9 |
| Stock repurchase | (18,751) | — | — | — | — | (3.9) | — | (3.9) |
| Net change in restricted and performance stock units | 80,451 | — | — | — | 2.9 | (10.9) | — | (8.0) |
| Common stock dividends | — | — | — | — | — | (14.4) | — | (14.4) |
| Balance at March 30, 2025 | 27,428,385 | $ 2.7 | 5,953,290 | $ 0.6 | $ 702.0 | $ 1,229.6 | $ (162.7) | $ 1,772.2 |

See accompanying notes to consolidated financial statements.

WATTS WATER TECHNOLOGIES, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(Amounts in millions)
(Unaudited)

| | First Quarter Ended | |
|---|---|---|
| | **March 29, 2026** | **March 30, 2025** |
| **OPERATING ACTIVITIES** | | |
| Net income | **$ 99.6** | $ 74.0 |
| Adjustments to reconcile net income to net cash provided by operating activities: | | |
| Depreciation | **9.4** | 8.8 |
| Amortization of intangibles | **6.0** | 4.9 |
| Amortization of cloud computing arrangements | **0.6** | — |
| Loss on disposal of long-lived assets | **—** | 0.1 |
| Stock-based compensation | **5.2** | 2.9 |
| Deferred income tax | **4.8** | (2.4) |
| Changes in operating assets and liabilities, net of effects from business acquisitions: | | |
| Accounts receivable | **(82.0)** | (41.3) |
| Inventories | **(19.8)** | (18.4) |
| Prepaid expenses and other assets | **(3.0)** | (5.9) |
| Accounts payable, accrued expenses and other liabilities | **(2.9)** | 32.5 |
| Net cash provided by operating activities | **17.9** | 55.2 |
| **INVESTING ACTIVITIES** | | |
| Additions to property, plant and equipment | **(11.3)** | (9.6) |
| Business acquisitions, net of cash acquired | **(1.9)** | (70.3) |
| Net cash used in investing activities | **(13.2)** | (79.9) |
| **FINANCING ACTIVITIES** | | |
| Payments for withholding taxes on vested awards | **(12.8)** | (10.9) |
| Payments for finance leases and other | **(0.7)** | (0.7) |
| Payments to repurchase common stock | **(3.8)** | (3.9) |
| Dividends | **(17.5)** | (14.4) |
| Net cash used in financing activities | **(34.8)** | (29.9) |
| Effect of exchange rate changes on cash and cash equivalents | **(0.7)** | 4.5 |
| DECREASE IN CASH AND CASH EQUIVALENTS | **(30.8)** | (50.1) |
| Cash and cash equivalents at beginning of year | **405.5** | 386.9 |
| CASH AND CASH EQUIVALENTS AT END OF PERIOD | **$ 374.7** | $ 336.8 |
| | | |
| SUPPLEMENTAL CASH FLOW DISCLOSURE: | | |
| Acquisition of businesses: | | |
| Fair value of assets acquired | **$ 1.6** | $ 76.6 |
| Cash paid, net of cash acquired | **1.9** | 70.3 |
| Liabilities assumed | **$ (0.3)** | $ 3.5 |
| | | |
| Issuance of stock under management stock purchase plan | **$ 0.4** | $ 0.8 |
| | | |
| CASH PAID FOR: | | |
| Interest | **$ 2.4** | $ 2.4 |
| Income taxes | **$ 6.8** | $ 5.1 |

See accompanying notes to consolidated financial statements.

**WATTS WATER TECHNOLOGIES, INC. AND SUBSIDIARIES**
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS (Unaudited)

**1. Basis of Presentation**

The accompanying unaudited consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States for interim financial information and with the instructions to Form 10-Q and Article 10 of Regulation S-X. Accordingly, they do not include all of the information and footnotes required by accounting principles generally accepted in the United States for complete consolidated financial statements. In the opinion of management, all adjustments (consisting of normal recurring accruals) considered necessary for a fair presentation have been included in the Watts Water Technologies, Inc. (the "Company") Consolidated Balance Sheet as of March 29, 2026, the Consolidated Statements of Operations for the First Quarters Ended March 29, 2026 and March 30, 2025, the Consolidated Statements of Comprehensive Income for the First Quarters Ended March 29, 2026 and March 30, 2025, the Consolidated Statements of Stockholders' Equity for the First Quarters Ended March 29, 2026 and March 30, 2025, and the Consolidated Statements of Cash Flows for the First Quarters Ended March 29, 2026 and March 30, 2025.

The consolidated balance sheet at December 31, 2025 has been derived from the audited consolidated financial statements at that date. The accounting policies followed by the Company are described in the Company's Annual Report on Form 10-K for the year ended December 31, 2025. The consolidated financial statements included in this report should be read in conjunction with the consolidated financial statements and notes included in the Annual Report on Form 10-K for the year ended December 31, 2025. Operating results for the interim periods presented are not necessarily indicative of the results to be expected for the year ending December 31, 2026.

The Company operates on a 52-week fiscal year ending on December 31, with each quarter, except the fourth quarter, ending on a Sunday. Any quarterly data contained in this Quarterly Report on Form 10-Q generally reflect the results of operations for a 13-week period.

*Estimates*

The preparation of the consolidated financial statements in conformity with accounting principles generally accepted in the United States requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. We are not aware of any specific event or circumstance that would require updates to the Company's estimates or judgments, or require the Company to revise the carrying value of the Company's assets or liabilities, as of the date of issuance of this Quarterly Report on Form 10-Q. These estimates may change as new events occur and additional information is obtained. Actual results could differ from those estimates.

**2. Accounting Policies**

The significant accounting policies used in preparation of these consolidated financial statements for the first quarter ended March 29, 2026, are consistent with those discussed in Note 2 of the Notes to Consolidated Financial Statements in the Company's Annual Report on Form 10-K for the year ended December 31, 2025.

*Shipping and Handling*

Shipping and handling costs included in selling, general and administrative expenses amounted to $21.7 million and $21.5 million for the first quarters of 2026 and 2025, respectively.

*Research and Development*

Research and development costs included in selling, general and administrative expenses amounted to $19.2 million and $16.8 million for the first quarters of 2026 and 2025, respectively.

*Accounting Standard Updates*

In November 2024, the FASB issued ASU 2024-03 "Income Statement - Reporting Comprehensive Income (Subtopic 220-40): Expense Disaggregation Disclosures" to expand the disclosure requirements of certain expense categories included in the income statement. ASU 2024-03 is effective for annual periods beginning January 1, 2027, with early adoption permitted. The Company is currently evaluating the potential effect that the updated standard will have on the Company's consolidated financial statement disclosures.

In July 2025, the FASB issued ASU No. 2025-05 "Financial Instruments-Credit Losses (Topic 326): Measurement of Credit Losses for Accounts Receivable and Contract Assets". The amendments in this update provide a practical expedient permitting an entity to assume the conditions at the balance sheet date remain unchanged over the life of the asset when estimating expected credit losses for current classified accounts receivable and contract assets. ASU 2025-05 is effective for annual periods beginning after December 15, 2025, including interim periods within those fiscal years. Adoption of this ASU can be applied prospectively for reporting periods after its effective date. The Company adopted the ASU effective January 1, 2026 on a prospective basis and elected the practical expedient for the calculation of current expected credit losses. The adoption did not have a material impact on the Company's allowance for doubtful accounts.

In September 2025, the FASB issued ASU No. 2025-06 "Intangibles-Goodwill and Other-Internal-Use Software (Subtopic 350-40): Targeted Improvements to the Accounting for Internal-Use Software". ASU 2025-06 simplifies the capitalization guidance by removing all references to prescriptive and sequential software development stages (referred to as "project stages") throughout ASC 350-40. ASU 2025-06 is effective for annual periods beginning after December 15, 2027, and interim periods within those fiscal years. Adoption of ASU 2025-06 can be applied prospectively for reporting periods after its effective date; or follow a modified transition approach that is based on the status of the respective projects and whether software costs were capitalized before the date of adoption; or retrospectively to any or all prior periods presented in the consolidated financial statements. Early adoption is permitted. The Company is evaluating the provisions of ASU 2025-06 and the potential effect it will have on the Company's consolidated financial statements and disclosures.

**3. Revenue Recognition**

The Company is a leading supplier of products and solutions that manage and conserve the flow of fluids and energy into, through and out of buildings in the commercial, industrial and residential markets. For over 150 years, the Company has designed and produced valve systems that safeguard and regulate water systems, energy efficient heating and hydronic systems, drainage systems and water filtration technology that help purify and conserve water.

The Company distributes products through four primary distribution channels: wholesale, original equipment manufacturers ("OEMs"), specialty, and do-it-yourself ("DIY"). The Company operates in three geographic segments: Americas, Europe, and Asia-Pacific, Middle East and Africa ("APMEA"). Each of these segments sells similar products, which consist of the following principal product categories:

- Residential and commercial flow control and protection—includes products and solutions typically sold into plumbing and hot water applications such as backflow preventers, water pressure regulators, temperature and pressure relief valves, thermostatic mixing valves, leak detection and protection products, commercial washroom solutions, hydration solutions and emergency safety products and equipment. Many of our flow control and protection products are now smart and connected enabled, warning of leaks, floods, freezing temperatures and other hazards with alerts to Building Management Systems ("BMS") and/or personal devices giving our customers greater insight into their water management and the ability to shut off the water supply to avoid waste and mitigate damage.

- Heating, ventilation and air conditioning ("HVAC") and gas—includes commercial, institutional and industrial high-efficiency boilers, water heaters and heating solutions, hydronic and electric heating systems for under floor radiant applications, custom heat and hot water solutions, hydronic pump groups for boiler manufacturers and alternative energy control packages, and flexible stainless steel connectors for natural and liquid propane gas in commercial food service and residential applications. Most of our HVAC products and solutions feature advanced controls enabling customers to easily connect to the BMS for better monitoring, control and operation.

- Drainage and water re-use—includes drainage products and engineered rainwater harvesting solutions for commercial, industrial, marine and residential applications, including connected roof drain systems.

- Water quality—includes point-of-use, point-of-entry, closed loop, cooling tower, and other water applications used for water filtration, monitoring, conditioning and scale prevention systems for commercial, marine, light industrial and residential applications.

The following table disaggregates revenue, which is presented as net sales in the consolidated financial statements, for each reportable segment, by distribution channel and principal product category:

| | For the First Quarter Ended March 29, 2026 (in millions) | | | |
|---|---|---|---|---|
| **Distribution Channel** | **Americas** | **Europe** | **APMEA** | **Consolidated** |
| Wholesale | **$ 334.9** | **$ 85.0** | **$ 30.2** | **$ 450.1** |
| OEM | **24.3** | **35.8** | **2.8** | **62.9** |
| Specialty | **134.5** | **—** | **7.8** | **142.3** |
| DIY | **21.4** | **0.6** | **—** | **22.0** |
| Total | **$ 515.1** | **$ 121.4** | **$ 40.8** | **$ 677.3** |

| | For the First Quarter Ended March 29, 2026 (in millions) | | | |
|---|---|---|---|---|
| **Principal Product Category** | **Americas** | **Europe** | **APMEA** | **Consolidated** |
| Residential & Commercial Flow Control | **$ 340.2** | **$ 47.5** | **$ 31.6** | **$ 419.3** |
| HVAC and Gas Products | **106.4** | **47.9** | **2.4** | **156.7** |
| Drainage and Water Re-use Products | **37.9** | **25.0** | **6.7** | **69.6** |
| Water Quality Products | **30.6** | **1.0** | **0.1** | **31.7** |
| Total | **$ 515.1** | **$ 121.4** | **$ 40.8** | **$ 677.3** |

| | For the First Quarter Ended March 30, 2025 (in millions) | | | |
|---|---|---|---|---|
| **Distribution Channel** | **Americas** | **Europe** | **APMEA** | **Consolidated** |
| Wholesale | $ 266.5 | $ 75.7 | $ 22.9 | $ 365.1 |
| OEM | 24.7 | 32.2 | 1.5 | 58.4 |
| Specialty | 105.6 | — | 7.1 | 112.7 |
| DIY | 21.3 | 0.5 | — | 21.8 |
| Total | $ 418.1 | $ 108.4 | $ 31.5 | $ 558.0 |

| | For the First Quarter Ended March 30, 2025 (in millions) | | | |
|---|---|---|---|---|
| **Principal Product Category** | **Americas** | **Europe** | **APMEA** | **Consolidated** |
| Residential & Commercial Flow Control | $ 270.8 | $ 41.4 | $ 28.6 | $ 340.8 |
| HVAC and Gas Products | 86.3 | 43.4 | 2.4 | 132.1 |
| Drainage and Water Re-use Products | 33.6 | 22.3 | 0.4 | 56.3 |
| Water Quality Products | 27.4 | 1.3 | 0.1 | 28.8 |
| Total | $ 418.1 | $ 108.4 | $ 31.5 | $ 558.0 |

The Company generally considers customer purchase orders, which in some cases are governed by master sales agreements, to represent the contract with a customer. The Company's contracts with customers are generally for products only and typically do not include other performance obligations such as professional services, extended warranties, or other material rights. In situations where sales are to a distributor, the Company has concluded that its contracts are with the distributor as the Company holds a contract bearing enforceable rights and obligations only with the distributor. As part of its consideration of the contract, the Company evaluates certain factors, including the customer's ability to pay (or credit risk). For each contract, the Company considers the promise to transfer products, each of which is distinct, to be the identified performance obligation. In determining the transaction price, the Company evaluates whether the price is subject to refund or adjustment to determine the net consideration to which the Company expects to be entitled. As the Company's standard payment terms are less than one year, the Company has elected not to assess whether a contract has a significant financing component. The Company allocates the transaction price to each distinct product based on its relative standalone selling price. The product price as specified on the historical purchase order when the product was sold on a standalone basis is considered the standalone selling price as it is an observable input which depicts the price as if sold to a similar customer in similar circumstances. Revenue is recognized when control of the product is transferred to the customer (i.e., when the Company's performance obligation is satisfied), which typically occurs at shipment from the Company's manufacturing site or distribution center, or delivery to the customer's named location. For certain product sales, performance obligations are satisfied over time if the customer receives the benefits as the Company performs work, if the customer controls the asset as it is being produced (continuous transfer of control), or if the product being produced for the customer has no alternative use and we have a contractual right to payment for performance to date. In certain circumstances, the Company manufactures customized products without alternative use for its customers. For the arrangements that entitle the Company to a right to payment of cost plus a profit for work completed, the Company concluded that control transfers over time. However, for the arrangements that do not provide such payment rights, the Company has concluded that control transfers at the point in time and not over time. In determining whether control has transferred, the Company considers if there is a present right to payment, physical possession and legal title, along with risks and rewards of ownership having transferred to the customer.

At times, the Company receives orders for products to be delivered over multiple dates that may extend across reporting periods. The Company invoices for each delivery upon shipment and recognizes revenues for each distinct product delivered, assuming transfer of control has occurred. As scheduled delivery dates are within one year, under the optional exemption as provided for under ASC 606, *Revenue from Contracts with Customers*, revenues allocated to future shipments of partially completed contracts are not disclosed.

The Company generally provides an assurance warranty that its products will substantially conform to their published specifications. The Company's liability is limited to either a credit equal to the purchase price or replacement of the defective part. Returns under warranty have historically been immaterial. The Company does not consider activities related to such warranty, if any, to be a separate performance obligation. For certain of its products, the Company will separately sell extended warranty and service policies to its customers. The Company considers the sale of these policies as separate performance obligations. These policies typically are for periods ranging from one to three years. Payments received are deferred and recognized over the policy period. For all periods presented, the revenue recognized and the revenue deferred under these policies are not material to the consolidated financial statements.

The timing of revenue recognition, billings and cash collections from the Company's contracts with customers can vary based on the payment terms and conditions in the customer contracts. In limited cases, customers will partially prepay for their goods. In addition, there are constraints which cause variability in the ultimate consideration to be recognized. These constraints typically include early payment discounts, volume rebates, rights of return, cooperative advertising, and market development funds. The Company includes these constraints in the estimated transaction price when there is a basis to reasonably estimate the amount of variable consideration. These estimates are based on historical experience, anticipated future performance and the Company's best judgment at the time. When the timing of the Company's recognition of revenue is different from the timing of payments made by the customer, the Company recognizes a contract liability (customer payment precedes performance).

The opening and closing balances of contract assets, included on the Company's consolidated balance sheet in prepaid expenses and other current assets, and contract liabilities, included on the Company's consolidated balance sheet in accrued expenses and other liabilities, were as follows:

| | March 29, 2026 | December 31, 2025 |
|---|---|---|
| | (in millions) | |
| Contract assets | **$ 5.4** | $ 4.2 |
| Contract liabilities | **(27.7)** | (26.6) |
| Net contract liability | **$ (22.3)** | $ (22.4) |

During the first quarters ended March 29, 2026 and March 30, 2025, we recognized revenue of $13.3 million and $6.4 million, respectively, which was included in the opening contract liability balance. Remaining performance obligations ("RPOs") represent the aggregate amount of certain contracts for which products have not been provided or services have not been performed. The Company does not disclose the value of RPOs for contracts with an original expected duration of one year or less. The RPOs for contracts with an original expected duration of more than one year is not material.

The Company incurs costs to obtain and fulfill a contract; however, the Company has elected to recognize all incremental costs to obtain a contract as an expense when incurred if the amortization period is one year or less. The Company has elected to treat shipping and handling activities performed after the customer has obtained control of the related goods as a fulfillment cost, and the related cost is accrued for in conjunction with the recording of revenue for the goods.

**4. Acquisitions**

*Saudi Cast*

On November 29, 2025, the Company completed the acquisition of The Industrial Company for Castings and Sanitary Fittings ("Saudi Cast") in a share purchase transaction funded with cash on hand. Saudi Cast is a leading manufacturer of cast iron and stainless steel drainage solutions, located in Riyadh, Saudi Arabia, offering high quality, specified drainage solutions serving the non-residential and industrial markets. Saudi Cast's operating results since the date of acquisition are included in the APMEA segment. The Company accounted for the transaction as a business combination and it was deemed not to be material to the Company's consolidated financial statements.

*Superior*

On November 14, 2025, the Company completed the acquisition of Superior Boiler ("Superior") in an equity purchase transaction funded with cash on hand. The aggregate net purchase price was $88.7 million, net of cash acquired of $4.5 million. The final post-closing working capital adjustment was immaterial and adjusted in the first quarter of 2026, resulting in a final purchase price of $90.0 million, net of cash acquired.

Superior is headquartered in Hutchinson, Kansas, and is a designer and manufacturer of a wide range of customized steam and hot water boiler systems for commercial, institutional and industrial applications. Superior's operating results since the date of acquisition are included in the Americas segment. The Company has determined that both the pro-forma and actual results, including Superior's net sales, net income, and earnings per share, are not material to the Company's financial results, and therefore has not included these disclosures.

The Company accounted for the transaction as a business combination. During the fourth quarter of 2025, the Company performed the preliminary purchase price allocation for the Superior purchase, with immaterial adjustments in the first quarter of 2026 primarily related to the final working capital and intangible asset valuation adjustments. The purchase price allocation was considered substantially completed as of the first quarter of 2026, with final refinements and allocations including deferred tax adjustments, to be completed in the second quarter of 2026 and are not expected to be material. The acquisition resulted in the recognition of $57.0 million in goodwill and $29.9 million in intangible assets. The intangible assets acquired consist of customer relationships valued at $25.9 million with estimated lives of 12 years and the trade name valued at $4.0 million with an estimated life of 15 years. The goodwill is attributable to the workforce of Superior and the portfolio which will allow the Company to expand its product offerings as a result of the

acquisition. For tax purposes, the Company accounted for the transaction as a stock acquisition and therefore maintained the existing tax basis for acquired assets and liabilities.

The following table summarizes the preliminary value of the assets and liabilities acquired (in millions):

| | |
|---|---|
| Cash | $ 4.5 |
| Trade accounts receivable | 7.3 |
| Inventories, net | 10.5 |
| Prepaid expenses and other current assets | 5.0 |
| Property, Plant and Equipment | 5.9 |
| Intangible assets | 29.9 |
| Goodwill | 57.0 |
| Other assets | 9.4 |
| Accounts payable | (6.2) |
| Accrued expenses and other current liabilities | (17.1) |
| Other noncurrent liabilities | (11.7) |
| Purchase price | $ 94.5 |

*Haws*

On November 4, 2025, the Company completed the acquisition of Haws Corporation ("Haws") in a share purchase transaction funded with cash on hand. Haws is headquartered in Sparks, Nevada and is a leading global brand providing emergency safety and hydration solutions serving industrial, institutional and non-residential end markets for more than 120 years. Haws' operating results since the date of acquisition are included in the Americas segment. The Company accounted for the transaction as a business combination and it was deemed not to be material to the Company's consolidated financial statements.

*EasyWater*

On June 13, 2025, the Company completed the acquisition of substantially all of the assets of Freije Treatment Systems, Inc. ("EasyWater") in an all-cash transaction. EasyWater, a leading provider of water quality solutions, is based in Fishers, Indiana, and has designed and manufactured innovative, chemical-free technologies for treating water in residential and commercial applications. The acquisition of EasyWater aligns with the Company's continued focus on growth, innovation and expanding the Company's portfolio of high-value water quality solutions. The Company accounted for the transaction as a business combination and it was deemed not to be material to the Company's consolidated financial statements.

**5. Goodwill & Intangibles**

The Company operates in three geographic segments: Americas, Europe, and APMEA. The changes in the carrying amounts of goodwill by geographic segment are as follows:

| | Gross Balance | | | Accumulated Impairment Losses | | | Foreign Currency Translation | Net Goodwill |
|---|---|---|---|---|---|---|---|---|
| | Balance January 1, 2026 | Adjustments During the Period | Balance March 29, 2026 | Balance January 1, 2026 | Impairment Loss During the Period | Balance March 29, 2026 | January 1, 2026 - March 29, 2026 | March 29, 2026 |
| | | | | (in millions) | | | | |
| Americas | **$ 729.5** | **$ 3.2** | **$ 732.7** | **$ (24.5)** | **$ —** | **$ (24.5)** | **$ (0.1)** | **$ 708.1** |
| Europe | **246.7** | **—** | **246.7** | **(129.7)** | **—** | **(129.7)** | **(1.9)** | **115.1** |
| APMEA | **49.9** | **(0.8)** | **49.1** | **(12.9)** | **—** | **(12.9)** | **0.2** | **36.4** |
| Total | **$ 1,026.1** | **$ 2.4** | **$ 1,028.5** | **$ (167.1)** | **$ —** | **$ (167.1)** | **$ (1.8)** | **$ 859.6** |

During the first quarter ended March 29, 2026, the Company completed adjustments to the purchase price allocations of certain acquisitions completed in 2025 resulting in a net $3.2 million of additional goodwill within the Americas segment and $0.8 million reduction in goodwill within the APMEA segment.

Goodwill and indefinite-lived intangible assets are tested for impairment at least annually or more frequently if events or circumstances indicate that it is "more likely than not" that they might be impaired, such as from a change in business conditions. The Company performs its annual goodwill and indefinite-lived intangible assets impairment assessment in the fourth quarter of each year. At the most recent annual impairment test, which occurred during the fourth quarter of 2025, the Company performed qualitative fair value assessments for seven of its reporting units and a quantitative analysis for the Fluid Solutions-Europe reporting unit, including an evaluation of certain key assumptions for all of its reporting units at the impairment test date. The Company concluded that the fair value of all reporting units tested exceeded their carrying values at that time.

Intangible assets include the following:

| | March 29, 2026 | | | December 31, 2025 | | |
|---|---|---|---|---|---|---|
| | Gross Carrying Amount | Accumulated Amortization | Net Carrying Amount | Gross Carrying Amount | Accumulated Amortization | Net Carrying Amount |
| | (in millions) | | | | | |
| Patents | **$ 5.0** | **$ (5.0)** | **$ —** | $ 5.0 | $ (5.0) | $ — |
| Customer relationships | **314.0** | **(122.9)** | **191.1** | 315.0 | (117.9) | 197.1 |
| Technology | **55.5** | **(50.7)** | **4.8** | 55.5 | (50.1) | 5.4 |
| Trade names | **25.8** | **(14.2)** | **11.6** | 26.4 | (13.9) | 12.5 |
| Other | **1.1** | **(0.9)** | **0.2** | 1.1 | (0.9) | 0.2 |
| Total amortizable intangibles | **401.4** | **(193.7)** | **207.7** | 403.0 | (187.8) | 215.2 |
| Indefinite-lived intangible assets | **79.1** | **—** | **79.1** | 79.4 | — | 79.4 |
| | **$ 480.5** | **$ (193.7)** | **$ 286.8** | $ 482.4 | $ (187.8) | $ 294.6 |

Aggregate amortization expense for amortized intangible assets for the first quarters ended March 29, 2026 and March 30, 2025 was $6.0 million and $4.9 million, respectively.

**6. Restructuring and Other Charges, Net**

The Company's Board of Directors approves all major restructuring programs that may involve the discontinuance of significant product lines or the shutdown of significant facilities. From time to time, the Company takes additional restructuring actions, including involuntary terminations that are not part of a major program. The Company accounts for these costs in the period in which the liability is incurred. These costs are included in restructuring charges in the Company's consolidated statements of operations.

A summary of the pre-tax cost by restructuring program is as follows:

| | First Quarter Ended | |
|---|---|---|
| | March 29, 2026 | March 30, 2025 |
| | (in millions) | |
| Restructuring costs: | | |
| 2025 France Actions | **$ 0.2** | $ 17.4 |
| Other Actions | **—** | (0.1) |
| Total restructuring charges | **$ 0.2** | $ 17.3 |

The Company recorded pre-tax restructuring costs in its business segments as follows:

| | First Quarter Ended | |
|---|---|---|
| | March 29, 2026 | March 30, 2025 |
| | (in millions) | |
| Europe | **$ 0.2** | $ 17.2 |
| APMEA | — | 0.1 |
| Total | **$ 0.2** | $ 17.3 |

*2025 France Actions*

On February 3, 2025, the Board of Directors approved a restructuring program with respect to the Company's operating facility in Hautvillers, France, within its Europe operating segment. The restructuring program included the shutdown of the Company's manufacturing facility in Hautvillers, France and relocation of the facility's production activities primarily to the Company's other facilities in France and other locations in Europe. The program was initially expected to include pre-tax charges totaling approximately $22.0 million, including costs for severance, relocation, clean-up and certain asset write-downs, and result in the elimination of approximately 96 positions at the Hautvillers, France facility. As a result of the facility consolidations, the net headcount reduction in France is expected to be approximately 68 positions. As of March 29, 2026, the Company estimated the total expected pre-tax charges for the program to be approximately $23.2 million. This increase in the initial total expected pre-tax charges was related to higher legal and severance costs. Total net after-tax charges for this restructuring program are expected to be approximately $17.2 million, of which non-cash charges are immaterial, with costs being incurred through the end of 2026, at which time the restructuring program is expected to be completed. The Company has spent approximately $1.0 million in capital expenditures to consolidate operations through March 29, 2026, and expects to spend $0.5 million more during the remainder of 2026. Annual pre-tax savings are estimated to be approximately $3.0 million, which the Company expects to fully realize by the end of 2026.

The following table summarizes by type, the total expected, incurred, and remaining pre-tax restructuring costs for the Company's restructuring program related to the 2025 France Actions:

| | Severance | Legal and consultancy | Asset write-downs | Facility exit and other | Total |
|---|---|---|---|---|---|
| | | | (in millions) | | |
| Costs incurred — 2025 | $ 18.0 | $ 1.4 | $ 0.9 | $ 1.7 | $ 22.0 |
| Costs incurred — first quarter 2026 | 0.1 | 0.1 | — | — | 0.2 |
| Remaining costs to be incurred | 0.4 | 0.3 | — | 0.3 | 1.0 |
| Total expected restructuring costs | **$ 18.5** | **$ 1.8** | **$ 0.9** | **$ 2.0** | **$ 23.2** |

Details of the restructuring reserve activity for the Company's 2025 France Actions for the first quarter ended March 29, 2026 are as follows:

| | Severance | Legal and consultancy | Asset write-downs | Facility exit and other | Total |
|---|---|---|---|---|---|
| | | | (in millions) | | |
| Balance at December 31, 2025 | $ 8.5 | $ 0.4 | $ — | $ 0.4 | $ 9.3 |
| Net pre-tax restructuring charges | 0.1 | 0.1 | — | — | 0.2 |
| Utilization and foreign currency impact | (1.7) | (0.5) | — | (0.4) | (2.6) |
| Balance at March 29, 2026 | $ **6.9** | $ — | $ — | $ — | $ **6.9** |

*Other Actions*

The Company periodically initiates other actions which are not part of a major program. Included in "Other Actions" for the quarter ended March 30, 2025, were immaterial cost saving actions, primarily severance costs, in the Europe and APMEA segment.

**7. Earnings per Share and Stock Repurchase Program**

The following table sets forth the reconciliation of the calculation of earnings per share:

| | For the First Quarter Ended March 29, 2026 | | | For the First Quarter Ended March 30, 2025 | | |
|---|---|---|---|---|---|---|
| | Income (Numerator) | Shares (Denominator) | Per Share Amount | Income (Numerator) | Shares (Denominator) | Per Share Amount |
| | (Amounts in millions, except per share information) | | | | | |
| Basic EPS: | | | | | | |
| Net income | **$ 99.6** | **33.5** | **$ 2.97** | $ 74.0 | 33.5 | $ 2.21 |
| Effect of dilutive securities: | | | | | | |
| Common stock equivalents | | — | — | | — | — |
| Diluted EPS: | | | | | | |
| Net income | **$ 99.6** | **33.5** | **$ 2.97** | $ 74.0 | 33.5 | $ 2.21 |

On July 31, 2023, the Company's Board of Directors authorized the repurchase of up to $150 million of the Company's Class A common stock, to be purchased from time to time on the open market or in privately negotiated transactions. The Company has entered into a Rule 10b5-1 plan, which permits shares to be repurchased under the Company's stock repurchase program when the Company might otherwise be precluded from doing so under insider trading laws. The repurchase program may be suspended or discontinued at any time, subject to the terms of the Rule 10b5-1 plan the Company entered into with respect to the repurchase program. As of March 29, 2026, there was approximately $125.1 million remaining authorized for share repurchases under the repurchase program.

For the first quarters ended March 29, 2026 and March 30, 2025, the Company repurchased 12,652 shares for $3.8 million and 18,751 shares for $3.9 million, respectively.

**8. Stock-Based Compensation**

The Company granted 34,840 and 41,560 units of deferred stock awards during the first quarters of 2026 and 2025, respectively. The Company grants deferred stock awards to key employees and stock awards to non-employee members of the Company's Board of Directors under the Third Amended and Restated 2004 Stock Incentive Plan ("2004 Stock Incentive Plan"). Deferred stock awards to employees typically vest annually over a three-year period, and stock awards to non-employee members of the Company's Board of Directors vest immediately.

The Company also grants performance stock units to key employees under the 2004 Stock Incentive Plan. Performance stock units cliff vest at the end of a performance period set by the Compensation Committee of the Board of Directors at the time of grant, which is currently three years. Upon vesting, the number of shares of the Company's Class A common stock awarded to each performance stock unit recipient will be determined based on the Company's performance relative to certain performance goals set at the time the performance stock units were granted. The recipient of a performance stock unit award may earn from zero shares to twice the number of target shares awarded to such recipient. The performance stock units are amortized to expense over the vesting period and, based on the Company's performance relative to the performance goals, may be adjusted. Changes to the estimated shares expected to vest will result in adjustments to the related share-based compensation expense that will be recorded in the period of change. If the performance goals are not met, no awards are earned and previously recognized compensation expense is reversed. The Company granted 29,545 and 34,712 performance stock units during the first quarters of 2026 and 2025, respectively. The performance goals for the performance stock units are based on the compound annual growth rate of the Company's revenue over the three-year performance period and the Company's return on invested capital for the third year of the performance period.

The Company includes "retirement vesting" provisions in the agreements for its deferred stock awards and performance stock units. These provisions provide that an employee who retires from the Company after attaining age 55 and 10 years of service and who meets certain other requirements, including non-competition and non-solicitation requirements, would be allowed to continue to vest in his or her deferred stock awards for the duration of the vesting periods and would be entitled to receive a pro rata portion of his or her performance stock units based on the period of service elapsed during the performance period. The employee is required to remain employed through the last working day of the grant year in order to be entitled to retirement vesting of the award in addition to the other provisions.

The Company also has a Management Stock Purchase Plan ("MSPP") that allows for the granting of restricted stock units ("RSUs") to key employees. Under the MSPP, the Company granted 14,885 and 18,071 RSUs during the first quarters of 2026 and 2025, respectively. On an annual basis, key employees may elect to receive a portion of their annual incentive compensation in RSUs instead of cash. Participating key employees may use up to 50% of their annual incentive bonus to purchase RSUs for a purchase price equal to 80% of the fair market value of the Company's Class A common stock as of the date of grant. RSUs vest either annually over a three-year period from the grant date or upon the third anniversary of the grant date. Receipt of the shares underlying RSUs is deferred for a minimum of three years, or such greater number of years from the date of the grant as is chosen by the key employee.

The fair value of the discount of each purchased RSU is estimated on the date of grant, using the Black-Scholes-Merton Model, based on the following weighted average assumptions:

| | 2026 | 2025 |
|---|---|---|
| Expected life (years) | **3.0** | 3.0 |
| Expected stock price volatility | **25.7 %** | 27.3 % |
| Expected dividend yield | **0.80 %** | 0.90 % |
| Risk-free interest rate | **3.7 %** | 4.0 % |

The risk-free interest rate is based upon the U.S. Treasury yield curve at the time of grant for the expected life of the RSUs. The expected life (estimated period of time outstanding) of RSUs and volatility were calculated using historical data. The expected dividend yield of stock is the Company's best estimate of the expected future dividend yield.

The above assumptions were used to determine the weighted average grant-date fair value of the discount on RSUs granted in 2026 and 2025 of $93.26 and $67.63, respectively.

A more detailed description of each of these plans can be found in Note 15 of the Notes to Consolidated Financial Statements in the Company's Annual Report on Form 10-K for the year ended December 31, 2025.

**9. Segment Information**

The Company discloses segment information on the same basis that the Chief Executive Officer, the Company's chief operating decision-maker ("CODM"), manages the segments, evaluates financial results and makes key operating decisions to allocate investments and resources. The Company operates in three geographic and reportable segments: Americas, Europe, and APMEA. Each of these segments sells similar products and solutions and has separate financial results that are reviewed by the CODM. Each segment earns revenue and income primarily from the sale of the Company's products. The Company sells its products into various end markets around the world with sales by region based upon location of the entity recording the sale. See Note 3 for further detail on sales by region of the product categories. The accounting policies for each segment are the same as those described in Note 2 of the Notes to Consolidated Financial Statements in the Company's Annual Report on Form 10-K for the year ended December 31, 2025.

The Company's segment performance measure is segment earnings as this is the performance measure used by the CODM in assessing segment performance and deciding how to allocate resources. Segment earnings excludes the impact of special items defined as non-recurring, and unusual items such as restructuring costs and acquisition-related costs. The CODM uses segment earnings for insight into underlying trends comparing past financial performance with current performance by reporting segment on a consistent basis.

The following is a summary of the Company's significant accounts and balances by segment, reconciled to its consolidated financial statements:

| | For the First Quarter Ended March 29, 2026 | | | |
|---|---|---|---|---|
| | Americas | Europe | APMEA | Total |
| | (in millions) | | | |
| Net sales | | | | |
| Net sales from external customers | $ 515.1 | $ 121.4 | $ 40.8 | $ 677.3 |
| Intersegment sales | 2.7 | 6.2 | 27.0 | 35.9 |
| Total segment net sales | $ 517.8 | $ 127.6 | $ 67.8 | $ 713.2 |
| Reconciliation of net sales | | | | |
| Elimination of intersegment sales | | | | (35.9) |
| Total consolidated net sales | | | | $ 677.3 |
| Less (a) | | | | |
| Segment cost of goods sold | 256.7 | 79.7 | 48.0 | |
| Segment selling, general and administrative | 121.2 | 28.2 | 11.6 | |
| Segment research and development | 15.4 | 3.0 | 0.7 | |
| Segment earnings | 124.5 | 16.7 | 7.5 | 148.7 |
| | | | | |
| Reconciliation of segment earnings to income before income taxes | | | | |
| Segment special items (b) | | | | (2.9) |
| Corporate operating loss (c) | | | | (12.8) |
| Consolidated operating income | | | | 133.0 |
| Interest income | | | | (1.7) |
| Interest expense | | | | 2.6 |
| Other expense, net | | | | 0.7 |
| Income before income taxes | | | | $ 131.4 |

| | For the First Quarter Ended March 30, 2025 | | | |
|---|---|---|---|---|
| | Americas | Europe | APMEA | Total |
| | (in millions) | | | |
| Net sales | | | | |
| Net sales from external customers | $ 418.1 | $ 108.4 | $ 31.5 | $ 558.0 |
| Intersegment sales | 2.2 | 8.2 | 24.9 | 35.3 |
| Total segment net sales | $ 420.3 | $ 116.6 | $ 56.4 | $ 593.3 |
| Reconciliation of net sales | | | | |
| Elimination of intersegment sales | | | | (35.3) |
| Total consolidated net sales | | | | $ 558.0 |
| Less (a) | | | | |
| Segment cost of goods sold | 204.0 | 74.5 | 41.3 | |
| Segment selling, general and administrative | 104.8 | 24.7 | 8.9 | |
| Segment research and development | 13.7 | 2.3 | 0.7 | |
| Segment earnings | 97.8 | 15.1 | 5.5 | 118.4 |
| | | | | |
| Reconciliation of segment earnings to income before income taxes | | | | |
| Segment special items (b) | | | | (18.4) |
| Corporate operating loss (c) | | | | (12.3) |
| Consolidated operating income | | | | 87.7 |
| Interest income | | | | (2.3) |
| Interest expense | | | | 2.7 |
| Other expense, net | | | | 0.4 |
| Income before income taxes | | | | $ 86.9 |

(a) The significant expense categories and amounts align with segment-level information that is regularly provided to the CODM. Significant segment expenses exclude certain expenses incurred and benefits recognized, see footnote (b). Intersegment expenses are included within the amounts shown.

(b) Segment special items are excluded from segment earnings and defined as nonrecurring and unusual expenses incurred or benefits recognized such as restructuring costs and acquisition-related costs.

(c) Corporate expenses are primarily for administrative compensation expense, compliance costs, professional fees, including corporate-related legal and audit expenses, shareholder services and benefit administration costs.

| | First Quarter Ended | |
|---|---|---|
| | March 29, 2026 | March 30, 2025 |
| | (in millions) | |
| Capital expenditures | | |
| Americas | **$ 8.7** | $ 6.5 |
| Europe | **2.4** | 2.8 |
| APMEA | **0.2** | 0.3 |
| Consolidated capital expenditures | **$ 11.3** | $ 9.6 |
| Depreciation and amortization of intangibles | | |
| Americas | **$ 11.8** | $ 10.8 |
| Europe | **2.6** | 2.4 |
| APMEA | **1.0** | 0.5 |
| Consolidated depreciation and amortization of intangibles | **$ 15.4** | $ 13.7 |

| | March 29, 2026 | December 31, 2025 |
|---|---|---|
| | (in millions) | |
| Identifiable assets (at end of period) | | |
| Americas | **$ 2,079.1** | $ 2,043.6 |
| Europe | **629.4** | 616.5 |
| APMEA | **231.3** | 221.1 |
| Consolidated identifiable assets | **$ 2,939.8** | $ 2,881.2 |
| Property, plant and equipment, net (at end of period) | | |
| Americas | **$ 201.8** | $ 202.1 |
| Europe | **77.4** | 78.7 |
| APMEA | **17.2** | 16.3 |
| Consolidated property, plant and equipment, net | **$ 296.4** | $ 297.1 |

The above summary of the Company's significant accounts and balances by segment are presented on a basis consistent with the presentation included in Note 19 of the Notes to Consolidated Financial Statements in the Company's Annual Report on Form 10-K for the year ended December 31, 2025.

The property, plant and equipment, net, in the U.S. of the Company's Americas segment was $189.0 million and $190.8 million as of March 29, 2026 and December 31, 2025, respectively.

The following includes U.S. net sales of the Company's Americas segment:

| | First Quarter Ended | |
|---|---|---|
| | March 29, 2026 | March 30, 2025 |
| | (in millions) | |
| U.S. net sales | **$ 484.9** | $ 394.1 |

**10. Accumulated Other Comprehensive Loss**

Accumulated other comprehensive loss consists of the following:

| | Foreign Currency Translation | Cash Flow Hedges (1) | Accumulated Other Comprehensive Loss |
|---|---|---|---|
| | | (in millions) | |
| Balance December 31, 2025 | **$ (127.8)** | **$ 0.3** | **$ (127.5)** |
| Change in period | **(4.3)** | **(0.6)** | **(4.9)** |
| Balance March 29, 2026 | **$ (132.1)** | **$ (0.3)** | **$ (132.4)** |
| | | | |
| Balance December 31, 2024 | $ (178.9) | $ 2.5 | $ (176.4) |
| Change in period | 14.4 | (0.7) | 13.7 |
| Balance March 30, 2025 | $ (164.5) | $ 1.8 | $ (162.7) |

(1) Cash flow hedges include interest rate swaps and designated foreign currency hedges. See Note 12 for further details.

**11. Debt**

On July 12, 2024, the Company and certain of its subsidiaries entered into the Third Amended and Restated Credit Agreement by and among the Company, certain subsidiaries of the Company, the lenders and other parties from time to time parties thereto and JPMorgan Chase Bank, N.A., as administrative agent (the "Credit Agreement"). The Credit Agreement establishes a senior unsecured revolving credit facility of $800 million (the "Revolving Credit Facility"). The maturity date of the Revolving Credit Facility is July 12, 2029, subject to extension under certain circumstances and subject to the terms of the Credit Agreement. The Credit Agreement provides for a maximum consolidated leverage ratio of 3.50 to 1.00 (or 4.00 to 1.00 during temporary step-ups following certain acquisitions) and a minimum consolidated interest ratio of 3.50 to 1.00.

The Revolving Credit Facility also includes sub-limits of $100 million for letters of credit and $15 million for swing line loans. As of March 29, 2026, the Company had drawn down $200.0 million on this line of credit and had $12.2 million in letters of credit outstanding, which resulted in $587.8 million of unused and available credit under the Revolving Credit Facility as of such date. Borrowings outstanding bear interest at a fluctuating rate per annum equal to an applicable percentage defined as (i) in the case of Term Benchmark loans, the Term Benchmark rate plus an applicable percentage, ranging from 1.075% to 1.325%, or (ii) in the case of alternate base rate loans and swing line loans, interest (which at all times will not be less than 1.00%) at the greatest of (a) the Prime Rate in effect on such day, (b) the FRBNY Rate in effect on such day plus 0.50% and (c) the Term Benchmark rate plus 1.00% for a one-month interest period, in each case, determined by reference to the Company's consolidated leverage ratio. For the borrowings denominated in dollars, there is a fixed 10 basis point adjustment if the reference rate is Term SOFR. The weighted average interest rate on debt outstanding under the Revolving Credit Facility as of March 29, 2026 was 4.85%. The weighted average interest rate on debt outstanding inclusive of the interest rate swaps discussed in Note 12 of the Notes to Consolidated Financial Statements and interest rates under the Revolving Credit Facility as of March 29, 2026 was 4.07%. In addition to paying interest under the Credit Agreement, the Company is also required to pay certain fees in connection with the Revolving Credit Facility, including, but not limited to, an unused facility fee and letter of credit fees. The Company may repay loans outstanding under the Credit Agreement from time to time without premium or penalty, other than customary breakage costs, if any, and subject to the terms of the Credit Agreement. The Credit Agreement contains an expansion option of $400.0 million.

The Credit Agreement imposes various restrictions on the Company and its subsidiaries, including restrictions pertaining to: (i) the incurrence of additional indebtedness, (ii) limitations on liens, (iii) making distributions, dividends and other payments, (iv) mergers, consolidations and acquisitions, (v) dispositions of assets, (vi) certain consolidated leverage ratios and consolidated interest coverage ratios, (vii) transactions with affiliates, (viii) changes to governing documents, and (ix) changes in control. As of March 29, 2026, the Company was in compliance with these financial covenants.

The Company maintains letters of credit that guarantee its performance or payment to third parties in accordance with specified terms and conditions. The Company's letters of credit are primarily associated with insurance coverage. The Company's letters of credit generally expire within one year of issuance. These instruments may exist or expire without being drawn down. Therefore, they do not necessarily represent future cash flow obligations.

**12. Financial Instruments and Derivative Instruments**

*Fair Value*

The carrying amounts of cash and cash equivalents, trade receivables and trade payables approximate fair value because of the short maturity of these financial instruments. The fair value of the Company's variable rate debt under the Revolving Credit Facility approximates its carrying value.

*Financial Instruments*

The Company measures certain financial assets and liabilities at fair value on a recurring basis, including deferred compensation plan assets and related liabilities and derivatives. The fair values of these financial assets and liabilities were determined using the following inputs as of March 29, 2026 and December 31, 2025:

| | Fair Value Measurements at March 29, 2026 Using: | | | |
|---|---|---|---|---|
| | Total | Quoted Prices in Active Markets for Identical Assets (Level 1) | Significant Other Observable Inputs (Level 2) | Significant Unobservable Inputs (Level 3) |
| | (in millions) | | | |
| Assets | | | | |
| Plan asset for deferred compensation(1) | **$ 2.9** | **$ 2.9** | **$ —** | **$ —** |
| Total assets | **$ 2.9** | **$ 2.9** | **$ —** | **$ —** |
| Liabilities | | | | |
| Plan liability for deferred compensation(2) | **$ 2.9** | **$ 2.9** | **$ —** | **$ —** |
| Total liabilities | **$ 2.9** | **$ 2.9** | **$ —** | **$ —** |

| | Fair Value Measurements at December 31, 2025 Using: | | | |
|---|---|---|---|---|
| | Total | Quoted Prices in Active Markets for Identical Assets (Level 1) | Significant Other Observable Inputs (Level 2) | Significant Unobservable Inputs (Level 3) |
| | (in millions) | | | |
| Assets | | | | |
| Plan asset for deferred compensation(1) | $ 3.0 | $ 3.0 | $ — | $ — |
| Interest rate swap(3) | $ 0.7 | $ — | $ 0.7 | $ — |
| Total assets | $ 3.7 | $ 3.0 | $ 0.7 | $ — |
| Liabilities | | | | |
| Plan liability for deferred compensation(2) | $ 3.0 | $ 3.0 | $ — | $ — |
| Interest rate swap(4) | $ 0.3 | $ — | $ 0.3 | $ — |
| Designated foreign currency hedges(4) | $ 0.1 | $ — | $ 0.1 | $ — |
| Total liabilities | $ 3.4 | $ 3.0 | $ 0.4 | $ — |

(1) Included on the Company's consolidated balance sheet in other assets (other, net).

(2) Included on the Company's consolidated balance sheet in accrued compensation and benefits.

(3) Included on the company's consolidated balance sheet in prepaid expenses and other current assets.

(4) Included on the company's consolidated balance sheet in accrued expenses and other liabilities.

Cash equivalents consist of instruments with remaining maturities of three months or less at the date of purchase and consist primarily of money market funds, for which the carrying amount is a reasonable estimate of fair value.

The Company uses financial instruments from time to time to enhance its ability to manage risk, including foreign currency and commodity pricing exposures, which exist as part of its ongoing business operations. The use of derivatives exposes the Company to counterparty credit risk for nonperformance and to market risk related to changes in currency exchange rates and commodity prices. The Company manages its exposure to counterparty credit risk through diversification of counterparties. The Company's counterparties in derivative transactions are substantial commercial banks with significant experience using such derivative instruments. The impact of market risk on the fair value and cash flows of the Company's derivative instruments is monitored and the Company restricts the use of derivative financial instruments to hedging activities. The Company does not enter into contracts for trading purposes, nor does the Company enter into any contracts for speculative purposes. The use of derivative instruments is approved by senior management under written guidelines.

*Interest Rate Swaps*

On July 12, 2024, the Company entered into the Credit Agreement, extending the maturity date of the Revolving Credit Facility from March 30, 2026 to July 12, 2029, and amending the expansion option to $400 million. Borrowings outstanding under the Revolving Credit Facility bear interest at a fluctuating rate per annum as further detailed in Note 11.

In order to manage the Company's exposure to changes in cash flows attributable to fluctuations in interest payments related to the Company's floating rate debt, the Company entered into an interest rate swap on March 30, 2021. Under the interest rate swap agreement, the Company received the one-month USD-LIBOR subject to a 0.00% floor and paid a fixed rate of 1.02975% on a notional amount of $100.0 million. On August 2, 2022, the Company amended the interest rate swap to replace LIBOR as a reference rate for borrowings with Term SOFR. Under the amended interest rate swap agreement, the Company receives the one-month Term SOFR subject to a -0.1% floor and pays a fixed rate of 0.942% on a notional amount of $100.0 million. The Company elected the optional expedient in connection with amending its interest rate swap to replace the reference rate from LIBOR to Term SOFR to consider the amendment as a continuation of the existing contract without having to perform an assessment that would otherwise be required under U.S. GAAP. The Company entered into an additional interest rate swap on October 23, 2023, as part of the acquisition of Bradley. Under the interest rate swap agreement, the Company receives the one-month Term SOFR subject to a -0.1% floor and pays a fixed rate of 4.844% on a notional amount of $100.0 million. Both swaps matured on March 30, 2026. The Company formally documents the hedge relationships at hedge inception to ensure that its interest rate swaps qualify for hedge accounting. On a quarterly basis, the Company assesses whether the interest rate swap is highly effective in offsetting changes in the cash flow of the hedged item. The Company does not hold or issue interest rate swaps for trading purposes. The swaps are designated as cash flow hedges. For the first quarter ended March 29, 2026, net losses of $0.3 million were recorded in Accumulated Other Comprehensive Loss to recognize the effective portion of the fair value of the interest rate swap that qualifies as a cash flow hedge.

*Designated Foreign Currency Hedges*

The Company's foreign subsidiaries transact most business, including certain intercompany transactions, in foreign currencies. Such transactions are principally purchases or sales of materials. The Company has exposure to a number of foreign currencies, including the Canadian dollar, the euro, the Chinese yuan and the Australian dollar. The Company uses a layering methodology, whereby at the end of each quarter, the Company enters into forward exchange contracts hedging the Canadian dollar to the U.S. dollar, which hedge up to 85% of the forecasted intercompany purchase transactions between one of the Company's Canadian subsidiaries and the Company's U.S. operating subsidiaries for the next twelve months. As of March 29, 2026, all designated foreign exchange hedge contracts were cash flow hedges under ASC 815, *Derivatives and Hedging*. The Company records the effective portion of the designated foreign currency hedge contracts in other comprehensive (loss) income until inventory turns and is sold to a third-party. Once the third-party transaction associated with the hedged forecasted transaction occurs, the effective portion of any related gain or loss on the designated foreign currency hedge is reclassified into earnings within cost of goods sold. In the event the notional amount of the derivatives exceeds the forecasted intercompany purchases for a given month, the excess hedge position will be attributed to the following month's forecasted purchases. However, if the following month's forecasted purchases cannot absorb the excess hedge position from the current month, the effective portion of the hedge recorded in other comprehensive (loss) income will be reclassified to earnings.

The notional amounts outstanding as of March 29, 2026 for the Canadian dollar to U.S. dollar contracts was $15.5 million. The fair value of the Company's designated foreign hedge contracts outstanding as of March 29, 2026 was an asset of less than $0.1 million. As of March 29, 2026, the amount expected to be reclassified into cost of goods sold from other comprehensive (loss) income in the next twelve months is a gain of $0.1 million.

**13. Contingencies and Environmental Remediation**

In the ordinary course of business, the Company is involved in disputes, litigation, and governmental or regulatory inquiries and investigations, both pending and threatened, including those involving product liability, environmental matters, and commercial disputes.

Other than the items described below, significant commitments and contingencies at March 29, 2026 are consistent with those discussed in Note 17 of the Notes to Consolidated Financial Statements in the Company's Annual Report on Form 10-K for the year ended December 31, 2025.

As of March 29, 2026, the Company estimates that the aggregate amount of reasonably possible loss in excess of the amount accrued for its contingencies is approximately $6.2 million. With respect to the estimate of reasonably possible loss, management has estimated the upper end of the range of reasonably possible loss based on (i) the amount of money damages claimed, where applicable, (ii) the allegations and factual development to date, (iii) available defenses based on the allegations, and/or (iv) other potentially liable parties. This estimate is based upon currently available information and is subject to significant judgment and a variety of assumptions and known and unknown uncertainties. The matters underlying the estimate will change from time to time, and actual results may vary significantly from the current estimate. In the event of an unfavorable outcome in one or more of the matters, the ultimate liability may be in excess of amounts currently accrued, if any, and may be material to the Company's operating results or cash flows for a particular quarterly or annual period. However, based on information currently known to it, management believes that the ultimate outcome of all matters, as they are resolved over time, is not likely to have a material adverse effect on the financial condition of the Company.

*Chemetco, Inc. Superfund Site, Hartford, Illinois*

In August 2017, Watts Regulator Co. (a wholly-owned subsidiary of the Company) received a "Notice of Environmental Liability" from the Chemetco Site Group ("Group") alleging that it is a potentially responsible party ("PRP") for the Chemetco, Inc. Superfund Site in Hartford, Illinois (the "Site") because it arranged for the disposal or treatment of hazardous substances that were contained in materials sent to the Site and that resulted in the release or threat of release of hazardous substances at the Site. The letter offered Watts Regulator Co. the opportunity to join the Group and participate in the Remedial Investigation and Feasibility Study ("RI/FS") for a portion of the Site. Watts Regulator Co. joined the Group in September 2017 and was added in March 2018 as a signatory to the Administrative Settlement Agreement and Order on Consent with the United States Environmental Protection Agency ("USEPA") and the Illinois Environmental Protection Agency ("IEPA") governing completion of the RI/FS. The Remedial Investigation report has been completed for the first portion of the site. For that same portion of the site, the draft Feasibility Study ("FS") report was submitted to USEPA and IEPA for review and comment in September 2021. USEPA and IEPA both issued comments on the draft FS. The Group provided responses to the Agency comments on December 1, 2023. The deadline for submission of the revised FS report has been deferred with USEPA's consent until all Agency comments are resolved. Comments and final approval from the USEPA are required to complete the FS process. USEPA has identified December 2027 to February 2028 as its targeted milestone for completion of the FS and for the Agency's selection of a remedy.

Based on information currently known to it, management believes that Watts Regulator Co.'s share of the costs of the RI/FS is not likely to have a material adverse effect on the financial condition of the Company, or have a material adverse effect on the Company's operating results for any particular period. The Company is unable to estimate a range of reasonably possible loss for the above matter in which damages have not been specified because: (i) the FS process for the first portion of the Site has not been completed, and the RI/FS process for the remainder of the Site has not yet been initiated, to determine what remediation plans will be implemented and the costs of such plans; (ii) the total amount of material sent to the Site, and the total number of PRPs who may or may not agree to fund or perform any remediation, have not been determined; (iii) the share contribution for PRPs to any remediation has not been determined; and (iv) the number of years required to implement a remediation plan acceptable to USEPA and IEPA is uncertain.

**14. Subsequent Events**

On May 4, 2026, the Company declared a quarterly dividend of sixty-three cents ($0.63) per share on each outstanding share of Class A common stock and Class B common stock payable on June 15, 2026 to stockholders of record on June 1, 2026.

## Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

This Quarterly Report on Form 10-Q contains statements that are not historical facts and are considered forward-looking within the meaning of the Private Securities Litigation Reform Act of 1995. These forward-looking statements contain projections of our future results of operations or our financial position or state other forward-looking information. The forward-looking statements included in this Quarterly Report on Form 10-Q, including without limitation statements regarding our business performance and strategy, including, without limitation, expected financial results, benefits from recent acquisitions and future acquisitions, expected investments in capital expenditures, expected impacts from legislation, impacts of the invalidation of tariffs imposed under the International Emergency Economic Powers Act ("IEEPA"), and our ability to manage challenging macro-economic and softer market conditions, including impacts from tariffs and the conflict in the Middle East, are only predictions and involve known and unknown risks, uncertainties and other important factors that may cause our actual results, performance or achievements to be materially different from any future results, performance or achievements expressed or implied by the forward-looking statements. In some cases, you can identify these forward-looking statements by words such as "anticipate," "believe," "could," "estimate," "expect," "intend," "may," "should," and "would" or similar words. You should not rely on forward-looking statements because they involve known and unknown risks, uncertainties and other factors, some of which are beyond our control. These risks, uncertainties and other factors may cause our actual results, performance or achievements to differ materially from the anticipated future results, performance or achievements expressed or implied by the forward-looking statements. Some of the factors that might cause these differences are described under Item 1A. "Risk Factors" of our Annual Report on Form 10-K for the fiscal year ended December 31, 2025, filed with the Securities and Exchange Commission. You should carefully review all of these factors, and you should be aware that there may be other factors that could cause these differences. These forward-looking statements were based on information, plans and estimates at the date of this report, and, except as required by law, we undertake no obligation to update any forward-looking statements to reflect changes in underlying assumptions or factors, new information, future events or other changes.

### Overview

The following discussion and analysis is provided to increase the understanding of, and should be read in conjunction with, the accompanying unaudited consolidated financial statements and related notes. In this Quarterly Report on Form 10-Q, references to "the Company," "Watts," "we," "us" or "our" refer to Watts Water Technologies, Inc. and its consolidated subsidiaries.

We are a leading supplier of products and solutions that manage and conserve the flow of fluids and energy into, through and out of buildings in the commercial, industrial and residential markets in the Americas, Europe and Asia-Pacific, Middle East and Africa ("APMEA"). For over 150 years, we have designed and produced valve systems that safeguard and regulate water systems, energy efficient heating and hydronic systems, drainage systems and water filtration technology that helps purify and conserve water. We earn revenue and income primarily from the sale of our products. Our principal product and solution categories include:

- Residential and commercial flow control and protection—includes products and solutions typically sold into plumbing and hot water applications such as backflow preventers, water pressure regulators, temperature and pressure relief valves, thermostatic mixing valves, leak detection and protection products, commercial washroom solutions, hydration solutions and emergency safety products and equipment. Many of our flow control and protection products are now smart and connected enabled, warning of leaks, floods, freezing temperatures and other hazards with alerts to Building Management Systems ("BMS") and/or personal devices giving our customers greater insight into their water management and the ability to shut off the water supply to avoid waste and mitigate damage.

- Heating, ventilation and air conditioning ("HVAC") and gas—includes commercial, institutional and industrial high-efficiency boilers, water heaters and heating solutions, hydronic and electric heating systems for under floor radiant applications, custom heat and hot water solutions, hydronic pump groups for boiler manufacturers and alternative energy control packages, and flexible stainless steel connectors for natural and liquid propane gas in commercial food service and residential applications. Most of our HVAC products and solutions feature advanced controls enabling customers to easily connect to the BMS for better monitoring, control and operation.

- Drainage and water re-use—includes drainage products and engineered rainwater harvesting solutions for commercial, industrial, marine and residential applications, including connected roof drain systems.

- Water quality—includes point-of-use, point-of-entry, closed loop, cooling tower, and other water applications used for water filtration, monitoring, conditioning and scale prevention systems for commercial, marine, light industrial and residential applications.

Our business is reported in three geographic segments: Americas, Europe, and APMEA. We distribute our products through four primary distribution channels: wholesale, original equipment manufacturers ("OEMs"), specialty, and do-it-yourself ("DIY").

We believe the factors relating to our future growth include continued product innovation that meets the needs of our customers and our end markets; our ability to continue to make selective acquisitions, both in our core markets as well as in complementary markets; regulatory requirements relating to the quality and conservation of water and the safe use of water; increased demand for clean water; and continued enforcement of plumbing and building codes. Our acquisition strategy focuses on businesses that promote our key macro themes around safety and regulation, energy efficiency and water conservation. We target businesses that we believe will provide us with one or more of the following: an entry into new markets and/or new geographies, improved channel access, unique and/or proprietary technologies, including smart and connected technologies, advanced production capabilities or complementary solution offerings. We have completed 17 acquisitions since 2016, and eight acquisitions in the last three years, all of which were strategic and complementary acquisitions that expanded our addressable market and that we believe will enable value creation through greater scale and growth opportunities.

Our innovation strategy is focused on differentiated products and solutions that will provide greater opportunity to distinguish ourselves in the marketplace, while at the same time creating innovative products and smart solutions to protect, control, and conserve critical resources, and help our customers with their sustainability efforts through the use of our products. We continually look for strategic opportunities to invest in new products and markets or divest existing product lines where necessary in order to meet those objectives.

Over the past several years we have been building our smart and connected products foundation by expanding our internal capabilities and making strategic acquisitions. Our strategy is to deliver superior customer value through smart and connected products and intelligent water solutions. This strategy focuses on three dimensions: Connect, Control and Conserve. We are focused on introducing products that connect our customers with smart systems, manage systems for optimal performance, and conserve critical resources by increasing operability, efficiency and safety.

Products representing a majority of our sales are subject to regulatory standards and code enforcement, which typically require that these products meet stringent performance criteria. We have consistently advocated for the development and enforcement of such plumbing codes. We are focused on maintaining stringent quality control and testing procedures at each of our manufacturing facilities in order to manufacture products in compliance with code requirements and take advantage of the resulting demand for compliant products. We believe that product development, product testing capability and investment in plant and equipment needed to manufacture products in compliance with code requirements, represent a competitive advantage for us.

Tariffs imposed on foreign imports into the United States have increased the cost of our products and could adversely impact the gross profit we earn on our products. We are proactively managing changes in tariffs and supply disruptions by leveraging our global sourcing strategy, driving incremental productivity within our operations and implementing pricing actions as appropriate. We expect that our significant degree of vertical integration, with manufacturing close to our customers, will be an advantage for us in the current environment. We have a proven track record of successfully navigating through periods of disruption and we are committed to continuing our strong execution. However, there can be no assurance that we will be able to fully mitigate the impact of new or increased tariffs and actions taken by the United States or other countries could have a material adverse effect on our business, financial condition or results of operations. On February 20, 2026, the U.S. Supreme Court ruled that tariffs imposed under IEEPA were not authorized by the statute. We are the importer of record for certain raw materials, components and products that were previously subject to such tariffs under IEEPA. Significant uncertainty remains regarding how and when any amounts may be recovered. We are evaluating the ruling and potential actions available to us. Because the process, timing, and amount of any recovery are uncertain, we have not recorded any potential benefit from a refund at this time. We will continue to monitor developments and evaluate potential impacts on our future financial results and business. Further, following the

Supreme Court's ruling invalidating IEEPA tariffs, the U.S. government imposed new and revised tariffs under various other regimes.

We continue to closely monitor impacts to our business, customers, suppliers, employees, and operations in the Middle East due to the conflict in Iran and increased regional instability and tensions. Our operations and our suppliers' operations in the region have not been materially impacted, although we could experience future impacts as the conflict continues. We also continue to monitor uncertainties related to energy costs and availability. Given the volatile nature of the situation, the potential impacts to our business are subject to change. We also continue to experience inflation in our material, labor and overhead costs. Despite these challenges and uncertainties, we continue to invest in our business, including new products, our smart and connected solutions and our growth and productivity initiatives. We remain focused on our customers' needs and executing our long-term strategy.

The trade policy environment and recent geopolitical events have created uncertainty which may result in reduced economic activity. However, gross domestic product ("GDP") is expected to remain positive and is generally a leading indicator for our repair and replacement business. New construction indicators are mixed. Multi-family and single-family housing, office, retail and recreation verticals are expected to be down, but light industrial, including data centers, is growing and institutional verticals remain steady. The European economy remains weak and geopolitical uncertainties continue, all of which may adversely affect our future financial results.

**Financial Overview**

First quarter 2026 sales increased 21.4%, or $119.3 million, on a reported basis, and 11.9%, or $66.6 million, on an organic basis, compared to the first quarter of 2025. The reported sales increase included acquired sales of 6.6%, or $36.6 million, with $30.7 million reported within the Americas segment and $5.9 million reported within APMEA. The reported sales increase also included the favorable impact of foreign exchange of $16.1 million, primarily due to the depreciation of the U.S. dollar against the euro. The 11.9% organic growth was driven by organic growth in the Americas of 15.5%, Europe of 0.5% and APMEA of 3.4%. The organic growth was primarily driven by favorable price realization and incremental volume, primarily in the Americas driven by data center growth. Operating income of $133.0 million increased by $45.3 million, or 51.7%, in the first quarter of 2026 as compared to the first quarter of 2025. This increase was primarily driven by favorable price realization, productivity and volume leverage partially offset by inflation, investments and tariffs.

In discussing our results of operations, segment earnings is the GAAP performance measure used by our chief operating decision-maker ("CODM") to assess and evaluate segment results. Segment earnings exclude the impacts of special items which are defined as non-recurring, and unusual expenses or benefits, such as restructuring costs and acquisition-related costs. The CODM uses segment earnings for insight into underlying trends comparing past financial performance with current performance by reporting segment on a consistent basis.

In addition, we refer to non-GAAP organic changes in financial measures, including organic net sales, organic net sales growth, organic selling, general and administrative expenses, and organic segment earnings, that exclude the impacts of acquisitions, divestitures and foreign exchange. Management believes reporting these non-GAAP financial measures provides useful information to investors, potential investors and others, because it allows for additional insight into underlying trends by providing growth on a consistent basis. We reconcile the change in these non-GAAP financial measures to our reported results below.

**Recent Developments**

On May 4, 2026, the Company declared a quarterly dividend of sixty-three cents ($0.63) per share on each outstanding share of Class A common stock and Class B common stock payable on June 15, 2026 to stockholders of record on June 1, 2026.

**Results of Operations**

**First Quarter Ended March 29, 2026 Compared to First Quarter Ended March 30, 2025**

*Net Sales.* Our business is reported in three geographic segments: Americas, Europe and APMEA. Our net sales in each of these segments for each of the first quarters of 2026 and 2025 were as follows:

| | First Quarter Ended March 29, 2026 | | March 30, 2025 | | | % Change to Consolidated Net Sales |
|---|---|---|---|---|---|---|
| | Net Sales | % Sales | Net Sales | % Sales | Change | |
| | (dollars in millions) | | | | | |
| Americas | **$ 515.1** | **76.1 %** | $ 418.1 | 74.9 % | $ 97.0 | 17.4 % |
| Europe | **121.4** | **17.9** | 108.4 | 19.4 | 13.0 | 2.3 |
| APMEA | **40.8** | **6.0** | 31.5 | 5.7 | 9.3 | 1.7 |
| Total | **$ 677.3** | **100.0 %** | $ 558.0 | 100.0 % | $ 119.3 | 21.4 % |

The change in net sales was attributable to the following:

| | | | | | Change As a % of Consolidated Net Sales | | | | Change As a % of Segment Net Sales | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | Americas | Europe | APMEA | Total | Americas | Europe | APMEA | Total | Americas | Europe | APMEA |
| | (dollars in millions) | | | | | | | | | | |
| Organic | $ 65.0 | $ 0.5 | $ 1.1 | $ 66.6 | 11.6 % | 0.1 % | 0.2 % | 11.9 % | 15.5 % | 0.5 % | 3.4 % |
| Foreign exchange | 1.3 | 12.5 | 2.3 | 16.1 | 0.3 | 2.2 | 0.4 | 2.9 | 0.3 | 11.5 | 7.4 |
| Acquired | 30.7 | — | 5.9 | 36.6 | 5.5 | — | 1.1 | 6.6 | 7.4 | — | 18.7 |
| Total | $ 97.0 | $ 13.0 | $ 9.3 | $ 119.3 | 17.4 % | 2.3 % | 1.7 % | 21.4 % | 23.2 % | 12.0 % | 29.5 % |

Our products are sold primarily to wholesalers, OEMs, DIY chains, and through various specialty channels. The change in organic net sales by channel was attributable to the following:

| | | | | | | Change As a % of Prior Year Sales (*) | | | |
|---|---|---|---|---|---|---|---|---|---|
| | Wholesale | OEMs | DIY | Specialty | Total | Wholesale | OEMs | DIY | Specialty |
| | (dollars in millions) | | | | | | | | |
| Americas | $ 50.9 | $ (0.4) | $ 0.1 | $ 14.4 | $ 65.0 | 19.1 % | (1.6)% | 0.5 % | 13.6 % |
| Europe | 0.6 | (0.1) | — | — | 0.5 | 0.8 | (0.3) | — | — |
| APMEA | 0.1 | 1.1 | — | (0.1) | 1.1 | 0.4 | 73.3 | — | (1.4) |
| Total | $ 51.6 | $ 0.6 | $ 0.1 | $ 14.3 | $ 66.6 | 14.1 % | 1.0 % | 0.5 % | 12.7 % |

* Segment change as a % of segment net sales by channel and Total change as a % of consolidated net sales by channel.

Americas net sales increased $97.0 million, or 23.2%, for the first quarter of 2026 compared to the first quarter of 2025. The change in net sales was positively impacted by $30.7 million, or 7.4%, of acquired sales related to acquisitions completed during 2025, and was positively impacted by $1.3 million, or 0.3%, of foreign currency translation. Organic net sales increased $65.0 million, or 15.5%, primarily due to favorable price realization and incremental volume driven by data center growth.

Europe net sales increased $13.0 million, or 12.0%, for the first quarter of 2026 compared to the first quarter of 2025. The increase in net sales was positively impacted by favorable foreign currency translation of $12.5 million, or 11.5%. Organic net sales increased $0.5 million, or 0.5%, primarily due to favorable price realization partially offset by a slight decline in volume.

APMEA net sales increased $9.3 million, or 29.5%, for the first quarter of 2026 compared to the first quarter of 2025. The change in net sales was positively impacted by $5.9 million, or 18.7%, of acquired sales related to an acquisition completed in the fourth quarter of 2025, and was positively impacted by $2.3 million, or 7.4%, of foreign currency translation. Organic net sales increased $1.1 million, or 3.4%, primarily due to growth in China, Australia and New Zealand partially offset by a decline in the Middle East.

The net increase in net sales due to foreign exchange was mostly due to the favorable impact of the depreciation of the U.S. dollar against the euro, Australian dollar and Canadian dollar in the first quarter of 2026. We cannot predict whether foreign currencies will appreciate or depreciate against the U.S. dollar in future periods or whether future foreign exchange rate fluctuations will have a positive or negative impact on our net sales.

*Gross Profit.* Gross profit and gross profit as a percent of net sales (gross margin) for the first quarters of 2026 and 2025 were as follows:

| | First Quarter Ended | |
|---|---|---|
| | March 29, 2026 | March 30, 2025 |
| | (dollars in millions) | |
| Gross profit | **$ 326.1** | $ 272.5 |
| Gross margin | **48.1 %** | 48.8 % |

Gross profit increased primarily due to higher price realization, productivity, volume leverage and acquisitions which more than offset inflation and tariffs. Gross margin declined primarily due to acquisition dilution.

*Selling, General and Administrative Expenses.* Selling, general and administrative ("SG&A") expenses increased $25.4 million, or 15.2%, in the first quarter of 2026 compared to the first quarter of 2025. The increase in SG&A expenses was attributable to the following:

| | (in millions) | % Change |
|---|---|---|
| Organic | $ 10.0 | 6.0 % |
| Foreign exchange | 4.2 | 2.5 |
| Acquired | 11.2 | 6.7 |
| Total | $ 25.4 | 15.2 % |

The increase in organic SG&A expenses was primarily due to general inflation of $4.1 million, an increase in strategic investments of $3.4 million, increased variable costs of $2.1 million due to higher net sales, a net increase in short-term and long-term compensation accruals of $1.2 million and $1.2 million in higher travel and marketing spend, partially offset by $2.4 million from productivity initiatives and restructuring savings compared to the first quarter of 2025. The increase in foreign exchange was mainly due to the depreciation of the U.S. dollar against the euro. The acquired SG&A costs related to acquisitions completed in 2025. Total SG&A expenses, as a percentage of net sales, were 28.5% in the first quarter of 2026 compared to 30.0% in the first quarter of 2025.

*Restructuring.* In the first quarter of 2026, we recorded a net restructuring charge of $0.2 million, which primarily related to the 2025 French restructuring program that was approved in the first quarter of 2025. In the first quarter of 2025, we recorded a net restructuring charge of $17.3 million, which included a $17.4 million charge related to the 2025 French restructuring program. For a more detailed description of our restructuring plans, see Note 6 of the Notes to the Consolidated Financial Statements.

*Operating Income.* Operating income, which is made up of segment earnings, Corporate operating loss and special items, for the first quarters of 2026 and 2025 was as follows:

| | First Quarter Ended | | | % Change to Consolidated Operating Income |
|---|---|---|---|---|
| | March 29, 2026 | March 30, 2025 | Change | |
| | (dollars in millions) | | | |
| Americas | **$ 124.5** | $ 97.8 | $ 26.7 | 30.4 % |
| Europe | **16.7** | 15.1 | 1.6 | 1.8 |
| APMEA | **7.5** | 5.5 | 2.0 | 2.3 |
| Total segment earnings | **$ 148.7** | $ 118.4 | $ 30.3 | 34.5 % |
| | | | | |
| Corporate operating loss | **$ (12.8)** | $ (12.3) | $ (0.5) | (0.6)% |
| | | | | |
| Segment special items | **(2.9)** | (18.4) | 15.5 | 17.7 |
| Total operating income | **$ 133.0** | $ 87.7 | $ 45.3 | 51.7 % |

The increase (decrease) in total segment earnings was attributable to the following:

| | Americas | Europe | APMEA | Total | Change As a % of Total Segment Earnings: Americas | Europe | APMEA | Total | Change As a % of Segment Earnings: Americas | Europe | APMEA |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | (dollars in millions) | | | | | | | | | | |
| Organic | $ 26.3 | $ (0.1) | $ 3.1 | $ 29.3 | 22.2 % | (0.1)% | 2.6 % | 24.7 % | 26.9 % | (0.7)% | 56.4 % |
| Foreign exchange | 0.2 | 1.7 | (2.3) | (0.4) | 0.2 | 1.4 | (1.9) | (0.3) | 0.2 | 11.3 | (41.8) |
| Acquired | 0.2 | — | 1.2 | 1.4 | 0.2 | — | 1.0 | 1.2 | 0.2 | — | 21.8 |
| Total | $ 26.7 | $ 1.6 | $ 2.0 | $ 30.3 | 22.6 % | 1.3 % | 1.7 % | 25.6 % | 27.3 % | 10.6 % | 36.4 % |

Operating income increased $45.3 million, or 51.7%, for the first quarter of 2026 compared to the first quarter of 2025. Operating income was favorably impacted by a decrease in segment special items of $15.5 million, primarily relating to a decrease in restructuring charges, partially offset by an increase in acquisition-related costs in the first quarter of 2026 compared to the first quarter of 2025. The increase in organic operating income of $29.3 million, or 24.7%, was primarily due to higher price realization, incremental volume in the Americas mostly driven by data center growth and productivity savings, partially offset by inflation, tariffs and investments.

*Interest Income.* Interest income in the first quarter of 2026 decreased $0.6 million compared to the first quarter of 2025, primarily due to lower interest rates.

*Interest Expense.* Interest expense in the first quarter of 2026 decreased $0.1 million compared to the first quarter of 2025 due to a decrease in letters of credit outstanding. Refer to Note 11 of the Notes to Consolidated Financial Statements for further details.

*Other Expense, Net.* Other expense, net, was an expense balance of $0.7 million in the first quarter of 2026 and increased $0.3 million compared to the first quarter of 2025, primarily due to unfavorable foreign currency translation.

*Income Taxes.* Our effective income tax rate increased to 24.2% in the first quarter of 2026, from 14.8% in the first quarter of 2025 primarily due to a reversal of a tax liability in the first quarter of 2025 relating to a prior tax year for which we determined the statute of limitations had lapsed.

*Net Income.* Net income was $99.6 million, or $2.97 per share of common stock on a diluted basis, for the first quarter of 2026, compared to $74.0 million, or $2.21 per share of common stock on a diluted basis, for the first quarter of 2025. Results for the first quarter of 2026 included after-tax charges of $2.1 million, or $0.06 per share of common stock, for acquisition-related costs and $0.1 million, or $0.01 per share of common stock, for restructuring. Results for the first quarter of 2025 included after-tax charges of $13.0 million, or $0.39 per share of common stock, for restructuring and $0.8 million, or $0.02 per share of common stock, for acquisition-related costs; offset by an after-tax benefit of $8.3 million, or $0.25 per share of common stock, for an income tax adjustment related to a lapsed statute tax liability.

**Liquidity and Capital Resources**

We generated $17.9 million of net cash provided by operating activities in the first quarter of 2026 compared to $55.2 million of net cash provided by operating activities in the first quarter of 2025. The decrease in net cash provided by operating activities was primarily related to elevated working capital levels which more than offset higher net income. Working capital increases were due to higher accounts receivable attributable to higher net sales, higher inventory due to incremental tariffs and strategic inventory investments to support expected end-market demand, and higher annual customer rebates due to higher net sales and timing of payments.

We used $13.2 million of net cash for investing activities in the first quarter of 2026 compared to $79.9 million used in the first quarter of 2025. In the first quarter of 2026, we used $1.9 million in cash for business acquisitions related to immaterial purchase price adjustments for acquisitions completed in the fourth quarter of 2025, compared to $70.3 million in cash for business acquisitions in our Americas segment in the first quarter 2025. Cash used for net capital expenditures in the first quarter of 2026 compared to the first quarter of 2025 increased $1.7 million. For the remainder of 2026, we expect to invest approximately $40 million to $50 million in capital expenditures as part of our ongoing commitment to improve our operating capabilities.

We used $34.8 million of net cash for financing activities during the first quarter of 2026 primarily due to dividend payments of $17.5 million, tax withholding payments on vested stock awards of $12.8 million and payments of $3.8 million to repurchase approximately 13,000 shares of Class A common stock. In the first quarter of 2025, we used $29.9

million of net cash for financing activities primarily due to dividend payments of $14.4 million, tax withholding payments on vested stock awards of $10.9 million and payments of $3.9 million to repurchase approximately 19,000 shares of Class A common stock.

On July 12, 2024, we entered into the Third Amended and Restated Credit Agreement by and among the Company, certain subsidiaries of the Company, the lenders and other parties from time to time parties thereto and JPMorgan Chase Bank, N.A., as administrative agent (the "Credit Agreement"). The Credit Agreement amends and restates the prior Second Amended and Restated Credit Agreement, dated as of March 30, 2021 (as amended by that certain Amendment No. 1 date August 2, 2022 and Amendment No. 2 dated December 12, 2023), that establishes our senior unsecured revolving credit facility of $800 million (the "Revolving Credit Facility"). The Credit Agreement also contains an expansion option of $400.0 million. Pursuant to the Credit Agreement, the maturity date of the Revolving Credit Facility is July 12, 2029, subject to extension under certain circumstances and subject to the terms of the Credit Agreement. The Credit Agreement provides for a maximum consolidated leverage ratio of 3.50 to 1.00 (or 4.00 to 1.00 during temporary step-ups following certain permitted acquisitions) and the minimum consolidated interest ratio of 3.50 to 1.00.

The Revolving Credit Facility also includes sub-limits of $100 million for letters of credit and $15 million for swing line loans. As of March 29, 2026, we had drawn down $200.0 million on this line of credit and had $12.2 million in letters of credit outstanding, which resulted in $587.8 million of unused and available credit under the Revolving Credit Facility as of such date. Borrowings outstanding bear interest at a fluctuating rate per annum equal to an applicable percentage defined as (i) in the case of Term Benchmark loans, the Term Benchmark rate plus an applicable percentage, ranging from 1.075% to 1.325%, or (ii) in the case of alternate base rate loans and swing line loans, interest (which at all times will not be less than 1.00%) at the greatest of (a) the Prime Rate in effect on such day, (b) the FRBNY Rate in effect on such day plus 0.50% and (c) the Term Benchmark rate plus 1.00% for a one-month interest period, in each case, determined by reference to our consolidated leverage ratio. For the borrowings denominated in dollars, there is a fixed 10 basis point adjustment if the reference rate is Term SOFR. The weighted average interest rate on debt outstanding under the Revolving Credit Facility as of March 29, 2026 was 4.85%. The weighted average interest rate on debt outstanding inclusive of the interest rate swaps discussed in Note 12 of the Notes to Consolidated Financial Statements and interest rates under the Revolving Credit Facility as of March 29, 2026 was 4.07%. In addition to paying interest under the Credit Agreement, we are also required to pay certain fees in connection with the Revolving Credit Facility, including, but not limited to, an unused facility fee and letter of credit fees. We may repay loans outstanding under the Credit Agreement from time to time without premium or penalty, other than customary breakage costs, if any, and subject to the terms of the Credit Agreement.

As of March 29, 2026, we held $374.7 million in cash and cash equivalents. Of this amount, $202.8 million of cash and cash equivalents were held by foreign subsidiaries. Our U.S. operations typically generate sufficient cash flows to meet our domestic obligations. We expect existing cash and cash equivalents and cash flows from operations and financing activities to be sufficient to meet our cash needs for at least the next 12 months and thereafter for the foreseeable future. However, if we did have to borrow to fund some or all of our expected cash outlays, we can do so at reasonable interest rates by utilizing the undrawn borrowings under our Revolving Credit Facility. Subsequent to recording the Toll Tax as part of the Tax Cuts and Jobs Act of 2017, our intent, other than with respect to the one-time repatriation of foreign earnings in 2023, has been to permanently reinvest undistributed earnings of foreign subsidiaries, and we do not have any current plans to repatriate additional post-Toll Tax foreign earnings to fund operations in the United States. However, if amounts held by foreign subsidiaries were needed to fund operations in the United States, we could be required to accrue and pay taxes to repatriate these funds. Such charges may include potential state income taxes and other tax charges.

On July 4, 2025, the One Big Beautiful Bill Act ("OBBBA") was enacted into law, introducing major changes to U.S. tax regulations, with staggered effective dates. Key provisions affecting our income taxes include an increase in bonus depreciation deductions, accelerated expensing of research and development costs and updates to international tax rules. In 2025, OBBBA generated significant cash tax savings due to the one time change of accelerated tax deductions and will not repeat in 2026.

We have no off-balance sheet arrangements that have, or are reasonably likely to have, a current or future effect on our financial condition, changes in financial condition, revenues or expenses, results of operations, liquidity, capital expenditures or capital resources that is material to investors.

**Non-GAAP Financial Measures**

In accordance with the SEC's Regulation G and Item 10(e) of Regulation S-K, the following provides definitions of the non-GAAP financial measures used by management. We believe that these measures enhance the overall understanding of underlying business results and trends. These non-GAAP measures are not intended to be considered by the user in place of the related GAAP financial measure, but rather as supplemental information to more fully understand our business results. These non-GAAP financial measures may not be the same as similar measures used by other companies due to possible differences in method and in the items or events being adjusted.

We refer to non-GAAP organic changes in financial measures, including organic net sales, organic net sales growth, organic SG&A expenses and organic segment earnings, which exclude the impacts of acquisitions, divestitures and foreign exchange from year-over-year comparisons. Reconciliations to the most closely related U.S. GAAP measure, net sales, net sales growth, SG&A and segment earnings, have been included in our discussion within "Results of Operations" above. Non-GAAP measures should be considered in addition to, and not as a replacement for or as a superior measure to, U.S. GAAP measures. Management believes reporting these non-GAAP measures provide useful information to investors, potential investors and others, by facilitating easier comparisons of our performance with prior and future periods.

Free cash flow is a non-GAAP measure that does not represent cash provided by operating activities in accordance with U.S. GAAP. Therefore, it should not be considered an alternative to net cash provided by or used in operating activities as an indication of our performance. The cash conversion rate of free cash flow to net income is also a measure of our performance in cash flow generation. We believe free cash flow and cash flow conversion rate to be an appropriate supplemental measure of our operating performance because it provides investors with a measure of our ability to generate cash, repay debt, pay dividends, repurchase stock and fund acquisitions.

A reconciliation of net cash provided by operating activities to free cash flow and a calculation of our cash conversion rate is provided below:

| | First Quarter Ended | |
|---|---|---|
| | March 29, 2026 | March 30, 2025 |
| | (in millions) | |
| Net cash provided by operating activities | **$ 17.9** | $ 55.2 |
| Less: additions to property, plant, and equipment | **(11.3)** | (9.6) |
| Free cash flow | **$ 6.6** | $ 45.6 |
| Net income | **$ 99.6** | $ 74.0 |
| Cash conversion rate of free cash flow to net income | **6.6** % | 61.6 % |

Free cash flow decreased in the first quarter of 2026 when compared to the first quarter of 2025, primarily due to increased capital investments and elevated working capital levels which more than offset higher net income. Working capital increases were due to higher accounts receivable attributable to higher net sales, higher inventory due to incremental tariffs and strategic inventory investments to support expected end-market demand, and higher annual customer rebates due to higher net sales and timing of payments.

Our net debt to capitalization ratio, a non-GAAP financial measure used by management, at March 29, 2026 was (9.2%) compared to (11.4%) at December 31, 2025. The increase was driven by an increase in net debt balance, primarily due to decreased cash and cash equivalents and an increase in stockholders' equity at March 29, 2026 compared to December 31, 2025 due to higher net income. Management believes the net debt to capitalization ratio is an appropriate supplemental measure because it helps investors understand our ability to meet our financing needs and serves as a basis to evaluate our financial structure. Our computation may not be comparable to other companies that may define their net debt to capitalization ratios differently.

A reconciliation of long-term debt (including current portion) to net debt and our net debt to capitalization ratio is provided below:

| | March 29, 2026 | December 31, 2025 |
|---|---|---|
| | (in millions) | |
| Current portion of long-term debt | **$ —** | $ — |
| Plus: long-term debt, net of current portion | **197.8** | 197.7 |
| Less: cash and cash equivalents | **(374.7)** | (405.5) |
| Net debt | **$ (176.9)** | $ (207.8) |

A reconciliation of capitalization is provided below:

| | March 29, 2026 | December 31, 2025 |
|---|---|---|
| | (in millions) | |
| Net debt | **$ (176.9)** | $ (207.8) |
| Total stockholders' equity | **2,096.3** | 2,027.7 |
| Capitalization | **$ 1,919.4** | $ 1,819.9 |
| Net debt to capitalization ratio | **(9.2)%** | (11.4)% |

**Application of Critical Accounting Policies and Key Estimates**

We believe that our critical accounting policies are those related to revenue recognition, inventory valuation, goodwill and other intangibles, product liability costs, legal contingencies and income taxes. We believe these accounting policies are particularly important to an understanding of our financial position and results of operations and require application of significant judgment by our management. In applying these policies, management uses its judgment in making certain assumptions and estimates. Our accounting policies are more fully described under the heading "Accounting Policies" in Note 2 of the Notes to Consolidated Financial Statements in our Annual Report on Form 10-K as filed with the SEC on February 23, 2026.

**Item 3. Quantitative and Qualitative Disclosures about Market Risk**

We use derivative financial instruments primarily to reduce exposure to adverse fluctuations in foreign exchange rates, interest rates and costs of certain raw materials used in the manufacturing process. We do not enter into derivative financial instruments for trading purposes. As a matter of policy, all derivative positions are used to reduce risk by hedging underlying economic exposure. The derivatives we use are instruments with liquid markets. See Note 12 of Notes to the Consolidated Financial Statements for further details.

Our consolidated earnings, which are reported in United States dollars, are subject to translation risks due to changes in foreign currency exchange rates. This risk is concentrated in the exchange rate between the U.S. dollar and the euro; the U.S. dollar and the Canadian dollar; and the U.S. dollar and the Chinese yuan.

Our non-U.S. subsidiaries transact most business, including certain intercompany transactions, in foreign currencies. Such transactions are principally purchases or sales of materials and are denominated in European currencies, the Chinese yuan or the U.S., Canadian or Australian dollar. We use foreign currency forward exchange contracts from time to time to manage the risks related to intercompany loans, intercompany purchases and intercompany sales that occur during the course of a year, and certain open foreign currency denominated commitments to sell products to third parties. We have entered into forward exchange contracts which hedge approximately 80% to 85% of the forecasted intercompany purchases between one of our Canadian subsidiaries and our U.S. operating subsidiaries for the next twelve months. We record the effective portion of the designated foreign currency hedge contracts in other comprehensive (loss) income until inventory turns and is sold to a third-party. Once the third-party transaction associated with the hedged forecasted transaction occurs, the effective portion of any related gain or loss on the designated foreign currency hedge is reclassified into cost of goods sold within earnings. The fair value of the Company's designated foreign hedge contracts outstanding as of March 29, 2026 was an asset of less than $0.1 million.

Under the Credit Agreement, our earnings and cash flows are exposed to fluctuations in interest payments related to our floating rate debt. In order to manage our exposure, we entered into an interest rate swap on March 30, 2021. Under the interest rate swap agreement, we received the one-month USD-LIBOR subject to a 0.00% floor and paid a fixed rate of 1.02975% on a notional amount of $100.0 million. On August 2, 2022, we amended the interest rate swap to replace LIBOR as a reference rate for borrowings with Term SOFR. Under the amended interest rate swap agreement, we receive the one-month Term SOFR subject to a -0.1% floor and pay a fixed rate of 0.942% on a notional amount of $100.0 million. We entered into an additional interest rate swap on October 23, 2023, as part of the acquisition of Bradley. Under the interest rate swap agreement, we receive the one-month Term SOFR subject to a -0.1% floor and pay a fixed rate of 4.844% on a notional amount of $100.0 million. Both swaps matured on March 30, 2026. Information about our long-term debt facility and related interest rates appears in Note 11 of the Consolidated Financial Statements.

We purchase significant amounts of bronze ingot, brass rod, cast iron, stainless steel and plastic, which are utilized in manufacturing our many product lines. Our operating results can be adversely affected by changes in commodity prices, including tariffs, if we are unable to pass on related price increases to our customers. We manage this risk by monitoring related market prices, working with our suppliers to achieve the maximum level of stability in their costs and related pricing, seeking alternative supply sources when necessary and passing increases in commodity costs to our customers, to the maximum extent possible, when they occur.

## Item 4. Controls and Procedures

### Evaluation of Disclosure Controls and Procedures

As required by Rule 13a-15(b) under the Securities Exchange Act of 1934, as amended, or Exchange Act, as of the end of the period covered by this report, we carried out an evaluation under the supervision and with the participation of our management, including our Chief Executive Officer and Chief Financial Officer, of the effectiveness of our disclosure controls and procedures. In designing and evaluating our disclosure controls and procedures, we recognize that any controls and procedures, no matter how well designed and operated, can provide only reasonable assurance of achieving the desired control objectives, and our management necessarily applies its judgment in evaluating and implementing possible controls and procedures. The effectiveness of our disclosure controls and procedures is also necessarily limited by the staff and other resources available to us and the geographic diversity of our operations. Based upon that evaluation, the Chief Executive Officer and Chief Financial Officer concluded that, as of the end of the period covered by this report, our disclosure controls and procedures were effective, in that they provided reasonable assurance that information required to be disclosed by us in the reports we file or submit under the Exchange Act is recorded, processed, summarized and reported within the time periods specified in the Securities and Exchange Commission's rules and forms and are designed to ensure that information required to be disclosed by us in the reports that we file or submit under the Exchange Act is accumulated and communicated to our management, including our Chief Executive Officer and Chief Financial Officer, as appropriate to allow timely decisions regarding required disclosure.

### Changes in Internal Control Over Financial Reporting

In 2024, we began the implementation of a new global enterprise resource planning ("ERP") system. The implementation is expected to occur in phases over the next several years and will replace many of our legacy ERP systems. The ERP system is designed to, among other things, streamline and enhance the Company's operational, financial and accounting processes through a comprehensive, integrated solution. In 2025 and continuing into 2026, we made changes to our internal control over financial reporting to address processes impacted by the ERP system implementation.

As the phased implementation of the new ERP system continues, we will have additional changes to our processes and procedures which, in turn, will result in additional changes to our internal control over financial reporting. As such changes occur, we will evaluate quarterly whether such changes materially affect our internal control over financial reporting.

Other than the above-noted changes, there was no change in our internal control over financial reporting that occurred during the first quarter ended March 29, 2026, that has materially affected, or is reasonably likely to materially affect, our internal control over financial reporting. We will continue to review and document our disclosure controls and procedures, including our internal control over financial reporting, and may from time to time make changes aimed at enhancing their effectiveness and to ensure that our systems evolve with our business.

## Part II. OTHER INFORMATION

### Item 1. Legal Proceedings

As disclosed in Part I, Item 1, "Business—Product Liability, Environmental and Other Litigation Matters" and Item 3, "Legal Proceedings" of our Annual Report on Form 10-K for the year ended December 31, 2025, we are party to certain litigation. There have been no material developments with respect to such legal proceedings during the quarter ended March 29, 2026, other than as described in Note 13 of the Notes to Consolidated Financial Statements, which is incorporated herein by reference.

### Item 1A. Risk Factors

There have been no material changes to the risk factors included in our Annual Report on Form 10-K for the year ended December 31, 2025.

### Item 2. Unregistered Sales of Equity Securities and Use of Proceeds

The following table includes information with respect to repurchases of our Class A common stock during the first quarter ended March 29, 2026 under our stock repurchase program.

| | Issuer Purchases of Equity Securities (1) | | | |
|---|---|---|---|---|
| Period | (a) Total Number of Shares (or Units) Purchased(1) | (b) Average Price Paid per Share (or Unit) | (c) Total Number of Shares (or Units) Purchased as Part of Publicly Announced Plans or Programs | (d) Maximum Number (or Approximate Dollar Value) of Shares (or Units) that May Yet Be Purchased Under the Plans or Programs |
| January 1, 2026 – January 25, 2026 | 3,383 | $ 288.41 | 3,383 | $ 127,956,867 |
| January 26, 2026 – February 22, 2026 | 3,953 | $ 311.27 | 3,953 | $ 126,726,524 |
| February 23, 2026 – March 29, 2026 | 5,316 | $ 308.83 | 5,316 | $ 125,084,229 |
| Total | 12,652 | $ 304.16 | 12,652 | |

(1) On July 31, 2023, we announced that our Board of Directors had authorized a repurchase program of up to $150 million of our Class A common stock, to be purchased from time to time on the open market or in privately negotiated transactions, which has no expiration date. The timing and number of shares repurchased will be determined by the Company's management based on its evaluation of market conditions and other factors.

**Item 5. Other Information**

***(a) Disclosure in lieu of reporting on a Current Report on Form 8-K.***

None.

***(b) Material changes to the procedures by which security holders may recommend nominees to the board of directors.***

None.

***(c) Insider trading arrangements and policies.***

During the first quarter ended March 29, 2026, no director or officer of the Company adopted or terminated a "Rule 10b5-1 trading arrangement" or "non-Rule 10b5-1 trading arrangement," as each term is defined in Item 408(a) of Regulation S-K.

**Item 6. Exhibits**

| Exhibit No. | Description |
|---|---|
| 3.1 | Restated Certificate of Incorporation, as amended. Incorporated by reference to the Registrant's Quarterly Report on Form 10-Q for the quarter ended June 25, 2023 (File No. 001-11499). |
| 3.2 | Amended and Restated By-Laws. Incorporated by reference to the Registrant's Current Report on Form 8-K dated July 31, 2023 (File No. 001- 11499). |
| 10.1*† | Form of 2026 Performance Stock Unit Award Agreement under the Watts Water Technologies, Inc. Third Amended and Restated 2004 Stock Incentive Plan |
| 31.1† | Certification of Principal Executive Officer pursuant to Rule 13a-14(a) or Rule 15d-14(a) of the Securities Exchange Act of 1934, as amended |
| 31.2† | Certification of Principal Financial Officer pursuant to Rule 13a-14(a) or Rule 15d-14(a) of the Securities Exchange Act of 1934, as amended |
| 32.1†† | Certification of Principal Executive Officer pursuant to 18 U.S.C. Section 1350 |
| 32.2†† | Certification of Principal Financial Officer pursuant to 18 U.S.C. Section 1350 |
| 101.INS** | Inline XBRL Instance Document |
| 101.SCH** | Inline XBRL Taxonomy Extension Schema Document |
| 101.CAL** | Inline XBRL Taxonomy Extension Calculation Linkbase Document |
| 101.DEF** | Inline XBRL Taxonomy Extension Definition Linkbase Document |
| 101.LAB** | Inline XBRL Taxonomy Extension Label Linkbase Document |
| 101.PRE** | Inline XBRL Taxonomy Extension Presentation Linkbase Document |
| 104 | Cover Page Interactive Data File (formatted as Inline XBRL and contained in Exhibit 101) |

† Filed herewith.

†† Furnished herewith.

* Management contract or compensatory plan or arrangement

** Attached as Exhibit 101 to this report are the following formatted in Inline XBRL (Extensible Business Reporting Language): (i) Consolidated Balance Sheets at March 29, 2026 and December 31, 2025, (ii) Consolidated Statements of Operations for the First Quarters ended March 29, 2026 and March 30, 2025, (iii) Consolidated Statements of Comprehensive Income for the First Quarters ended March 29, 2026 and March 30, 2025, (iv) Consolidated Statements of Stockholders' Equity for the First Quarters ended March 29, 2026 and March 30, 2025, (v) Consolidated Statements of Cash Flows for the First Quarters ended March 29, 2026 and March 30, 2025, and (vi) Notes to Consolidated Financial Statements.

**SIGNATURES**

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

WATTS WATER TECHNOLOGIES, INC.

Date: May 7, 2026

By: /s/ Robert J. Pagano, Jr.
Robert J. Pagano, Jr.
Chief Executive Officer, President and Chairperson of the Board (principal executive officer)

Date: May 7, 2026

By: /s/ Diane McClintock
Diane McClintock
Chief Financial Officer (principal financial officer)

Date: May 7, 2026

By: /s/ Virginia A. Halloran
Virginia A. Halloran
Chief Accounting Officer (principal accounting officer)

**Exhibit 10.1**

**2026 PERFORMANCE STOCK UNIT AWARD AGREEMENT**
**FOR COMPANY EMPLOYEES**

**UNDER THE WATTS WATER TECHNOLOGIES, INC.**
**THIRD AMENDED AND RESTATED 2004 STOCK INCENTIVE PLAN**

This award of performance stock units ("Performance Stock Units") of Watts Water Technologies, Inc. (the "Company") made to the grantee (the "Grantee"), as set forth in the Performance Stock Unit award notification provided through the Grantee's stock plan account on the E*TRADE website, is subject to the provisions of the Company's Third Amended and Restated 2004 Stock Incentive Plan (the "Plan") and the terms and conditions contained in this 2026 Performance Stock Unit Award Agreement (the "Agreement") and shall constitute Deferred Stock (as defined in the Plan) which is earned based on performance as provided herein. By accepting the award of Performance Stock Units on the E*TRADE website, the Grantee agrees to the terms and conditions of this Agreement.

1. Nature and Acceptance of Award. This Performance Stock Unit award entitles the Grantee to receive a share of Class A Common Stock of the Company ("Stock") for each Performance Stock Unit that is earned and vested as determined pursuant to Sections 3 and 5 below. The target number of Performance Stock Units the Grantee shall be eligible to earn and become vested in with respect to this Agreement is set forth on the E*TRADE website (the "Target Award"). The Grantee shall have no rights to the Performance Stock Units or to receive the Stock upon settlement of the Performance Stock Units under this Agreement unless he or she shall have accepted the Performance Stock Unit award and this Agreement through the E*TRADE website. Unless and until the shares of Stock are actually issued to the Grantee upon settlement of the Performance Stock Units in accordance with this Agreement, the Grantee shall not by reason of being granted the Performance Stock Units be deemed to be a shareholder of the Company or to have any other right to the Stock, except as otherwise provided in this Agreement.

2. Restrictions and Conditions.

   (a) The Performance Stock Units granted herein may not be sold, assigned, transferred, pledged or otherwise encumbered or disposed of by the Grantee.

   (b) Except as otherwise provided herein, if the Grantee's employment with the Company and its Subsidiaries is voluntarily or involuntarily terminated for any reason (other than death, disability or due to Normal Retirement (as defined below)) prior to the last day of the Performance Period, all Performance Stock Units shall be immediately and automatically forfeited to the Company upon termination of employment, without payment of any consideration to the Grantee. The Grantee shall have no further rights with respect to the Performance Stock Units or to receive shares of Stock with respect thereto.

(c) Notwithstanding the foregoing, if the Grantee's employment or service is terminated by reason of death or disability (as determined by the Administrator):

(i) if the date of termination of service is within the last twelve months of the Performance Period, then the determination of number of Performance Stock Units earned and vested will be conducted as if the Participant had not terminated employment; and

(ii) if the date of termination of service is within the first twenty-four months of the Performance Period, then the number of Performance Stock Units earned and vested shall be determined by multiplying the Target Award by a fraction, the numerator of which is the number of days from the start of the Performance Period to and including the date of termination of service, and the denominator of which is the number of days in the Performance Period, with such date of termination of service being a Payment Date under Section 4.

(d) Notwithstanding the foregoing, if the Grantee's employment or service is terminated due to Normal Retirement (as defined below) prior to the last day of the Performance Period, then the Performance Stock Units shall continue to vest in accordance with the vesting provisions of this Section 2(d) and be settled on the Payment Date, but only if Grantee (i) remains employed with the Company through the last working day of 2026, (ii) has complied with the provisions of Section 10 at all times during his or her employment, (iii) continues to comply with the provisions of Section 10, and (iv) if deemed necessary by the Company to have an enforceable non-compete similar to that provided in Section 10(b), then to execute and not revoke or violate a separate Non-Competition Agreement the terms of which are substantially similar to those set forth in Section 10 below. For the avoidance of doubt, if (A) the Grantee violates the provisions of Section 10, (B) fails to execute a Non-Competition Agreement as may be requested by the Company, (C) revokes or violates any Non-Competition Agreement so executed, or (D) the obligations set forth in Section 10(b) or the Non-Competition Agreement are deemed unenforceable, then the Performance Stock Units shall not continue to vest pursuant to this Section 2(d) and any unvested Performance Stock Units shall be immediately and automatically forfeited to the Company without any further action required by the Company. The portion of the Performance Stock Units that are eligible to vest in accordance with this Section 2(d) shall be determined by multiplying (A) the Earned Performance Stock Units determined pursuant to Section 3 below for the entire Performance Period, by (B) a fraction, the numerator of which is the number of days the Grantee was continually employed since the beginning of the Performance Period and the denominator of which is the number of days in the Performance Period.

3. Determination of Number of Performance Stock Units Earned.

(a) No Performance Stock Units shall be earned or vested unless the Company's ROIC (as defined below) equals or exceeds __% (the "Minimum Performance Goal").

(b) If the Minimum Performance Goal is obtained, then the number of Performance Stock Units that will be earned and vested, if any, for the Performance Period shall be determined as follows:

Earned Performance Stock Units = Payout Percentage x Target Award

The "Payout Percentage" is based on the Company's achievement with respect to (i) "ROIC" (as defined below) and "Revenue CAGR" (as defined below) (the "Performance Goals"), as determined at the end of the Performance Period in accordance with the following table:

| **3 Year Revenue CAGR** | **ROIC** | | | |
|---|---|---|---|---|
| | **Below Threshold** | **Threshold** | **Target** | **Maximum** |
| | Payout Percentage | | | |
| **Below Threshold** | 0% | 60% | 75% | 100% |
| **Threshold** | 60% | 60% | 75% | 125% |
| **Target** | 80% | 80% | 100% | 150% |
| **Maximum** | 100% | 100% | 150% | 200% |

Achievement between (i) below threshold and threshold, (ii) threshold and target and (iii) target and maximum will be interpolated linearly. All Performance Stock Units that are not earned at the end of the Performance Period shall be forfeited.

(c) Defined Terms.

(i) "Average Invested Capital" shall mean the average of invested capital as of December 31, 2027 and the invested capital as of December 31, 2028 where the invested capital is defined as the sum of the Company's long-term debt plus the current portion of long-term debt, less cash, cash equivalents and investments, plus stockholder equity.

(ii) "Normal Retirement" shall mean any termination of the Grantee's employment (other than a Company-initiated termination for Cause) after the date the Grantee attains age 55 and completes 10 or more years of employment or service with the Company or one of its Subsidiaries (as

determined by the Administrator). "Cause" shall mean (i) an act constituting a felony; (ii) fraud or dishonesty that results in or is likely to result in economic damage to the Company; or (iii) willful misconduct in the performance of duties.

(iii)"Performance Period" shall mean January 1, 2026 through and including December 31, 2028.

(iv)"Revenue CAGR" shall mean the 3-year compound annual growth rate in the Company's revenue during the Performance Period. For the purposes of calculating Revenue CAGR under this Agreement, the revenue shall be adjusted to reflect foreign exchange and proforma revenue in the base year 2025 (adjusted for acquisitions and divestitures).

(v) "ROIC" shall mean the Company's return on Average Invested Capital calculated as a percentage for the twelve-month period ending on the last day of the Performance Period by dividing net operating profit after tax by Average Invested Capital. For the purposes of calculating ROIC under this Agreement, "net operating profit" shall be adjusted to exclude the impact of all restructuring, foreign exchange, impairments, legal settlements, employee separation costs, product liability charges, retroactive tax law changes, and other significant, unforeseen events outside of the Company's control to the extent such items were not contemplated and included in the Company's 2025 Strategic Plan, upon which the ROIC goals were based.

(d) The Revenue CAGR and ROIC goals shall be adjusted to reflect the impact of any acquisition or disposition of an entity, business or business segment during the Performance Period.

4. Settlement and Payment of Performance Stock Units.

(a) Except as otherwise provided for payment upon a Sale Event or under Section 2(c)(ii), any earned Performance Stock Units shall be settled and shares of Stock issued to the Grantee as soon as administratively practicable following the Administrator's certification of the achievement of the Performance Goals at the end of the Performance Period (such date of settlement being the "Payment Date"); provided, that the Payment Date shall occur no later than March 15 of the year following the end of the Performance Period. Performance Stock Units earned under Section 2(c)(ii) shall be settled and shares of Stock issued to the Grantee or the Grantee's beneficiary as soon as administratively practicable following the Grantee's termination of service, but no later than March 15 of the year following the year of Grantee's termination of service.

(b) Notwithstanding anything herein to the contrary, the Company may postpone the issuance of the shares of Stock until it is satisfied that the issuance of such Stock will not violate any applicable law. The actual issuance of the shares of Stock shall be subject to such terms and conditions as the Company may establish from time to time in order to comply with applicable law.

(c) Notwithstanding anything herein to the contrary, the Administrator may adjust the calculation of Revenue CAGR and/or ROIC to exclude certain items that were not

contemplated and included in the Company's 2025 Strategic Plan if, in its sole judgment, such adjustment is appropriate.

(d) Notwithstanding anything herein to the contrary, the Administrator may, in its discretion, grant additional Performance Stock Units to a Grantee at the time of settlement to account for demonstrated quality of performance; provided that the number of Performance Stock Units earned by Grantee under this Agreement may not exceed 200% of the Target Award.

(e) Notwithstanding anything herein to the contrary, the Administrator may, in its discretion, decrease the number of Performance Stock Units earned by the Grantee at the time of settlement in exceptional circumstances or for good reason.

5. Sale Event. In the event of a Sale Event during the Performance Period, the Performance Stock Units will be deemed to have been earned at the greater of (a) the Target Award, or (b) the number of Performance Stock Units that would be earned based on the actual performance of the Company determined as if the Company's last quarter end prior to the date of the Sale Event was the last day of the Performance Period. The Performance Stock Units will become payable in shares of Stock or cash, as the Administrator may determine, within sixty (60) days following the Sale Event.

6. Dividend Equivalent Rights. If the Company pays a cash dividend on its Stock during the Performance Period, then the Grantee has the right to receive a cash payment at the time the earned and vested Performance Stock Units are settled determined by (a) multiplying the value of the dividends paid on a share of Stock during the Performance Period by the number of Performance Stock Units actually earned and vested at the end of the Performance Period ("Dividend Equivalents"). The right to Dividend Equivalents will cease and be forfeited upon the forfeiture and cancellation of the Performance Stock Units under this Agreement.

7. Incorporation of Plan. Notwithstanding anything herein to the contrary, this Agreement shall be subject to and governed by all the terms and conditions of the Plan, including the powers of the Administrator set forth in Section 2(b) of the Plan. Capitalized terms in this Agreement shall have the meaning specified in the Plan, unless a different meaning is specified herein.

8. Limitations on Transferability. This Agreement is personal to the Grantee, is non-assignable and is not transferable in any manner, by operation of law or otherwise, other than by will or the laws of descent and distribution.

9. Tax Withholding. The Grantee acknowledges and agrees that the Company has the right to deduct from payments of any kind otherwise due to the Grantee any federal, state, local or other taxes of any kind required by law to be withheld with respect to the grant, settlement or payment of the Performance Stock Units. The Grantee shall satisfy such tax withholding obligations on the Performance Stock Units by transferring to the Company, on each date on which such tax liability shall arise, such number of shares of Stock as have a Fair Market Value equal to the amount of the Company's minimum

required tax withholding obligation. Such delivery of Stock to the Company shall be deemed to happen automatically, without any action required on the part of the Grantee, and the Company is hereby authorized to take such actions as are necessary to effect such delivery.

10. Non-Solicitation, Non-Disparagement and Non-Competition for Retiree Vesting.

(a) In consideration of the Company entering into this Agreement with the Grantee, the Grantee agrees that throughout his or her term of employment with the Company and for a period of twelve (12) months following the Grantee's date of termination with the Company, the Grantee shall not, directly or indirectly: (i) divert or attempt to divert or assist others in diverting any business of the Company by soliciting, contacting or communicating with any customer or supplier of the Company with whom the Grantee has direct or indirect contact or upon termination of employment has had direct or indirect contact during the twelve (12) month period immediately preceding the Grantee's date of termination with the Company; (ii) solicit, induce, attempt to induce or assist others in attempting to induce any employee or other service provider of the Company with whom the Grantee has worked or had material contact with, during the twelve (12) month period immediately preceding the termination of the Grantee's employment, to leave the employment of the Company or a subsidiary of the Company or to accept employment or affiliation with any other company or firm of which the Grantee becomes an employee, owner, partner or consultant; or (iii) make any statements, orally or in writing, cause to be published or in any way disseminate any information concerning the Company or any subsidiaries of the Company concerning the Company's business, business operations or business practices that in any way, in form or substance, harms, disparages or otherwise casts an unfavorable light upon the Company or any subsidiaries of the Company or upon any of their reputations or standing in the business community or the community as a whole. The provisions of this Section 10 do not prohibit the Grantee from communicating with, cooperating with, or providing information to the Securities and Exchange Commission, the Department of Labor, the EEOC, the NLRB, or any government agency that might be interpreted as disparaging. In consideration of the Company entering into this Agreement with the Grantee, the Grantee further agrees that throughout his or her term of employment with the Company, except on behalf of the Company, the Grantee shall not, directly or indirectly, engage in or participate in, or prepare to engage in or participate in, the Business, or provide services in any capacity to any person or entity engaged in or preparing to engage in the Business in competition with the Company. For purposes of this Section 10 and each subpart, "Company" shall include the Company and any parent company, subsidiary, or affiliated company of the Company and any of their respective successors or assigns.

(b) In consideration of the continued vesting of the Grantee's Performance Stock Units pursuant to Section 2(d) above, the Grantee agrees that throughout his or her term of employment with the Company and following the Grantee's

termination with the Company due to Normal Retirement through the Payment Date, the Grantee will not, directly or indirectly, either through any form of ownership (other than ownership of securities of a publicly-held corporation of which the Grantee owns, or has real or contingent rights to own, two percent (2%) or less of any class of outstanding securities) or as a director, officer, principal, agent, employee, employer, advisor, consultant, investor, member, partner or in any other individual or representative capacity whatsoever, either for Grantee's own benefit or for the benefit of any other person, (i) engage or participate in, or prepare to engage in or participate in, the Business or (ii) manage, join, operate, lend to, invest in, control, or render any services to any person or entity engaged in or preparing to engage in the Business, in each case (i) and (ii) in competition with the Company anywhere in the Restricted Territory. For purposes of this Agreement, the "Restricted Territory" means each city, county, state, territory and country in which (i) Grantee provided services or had a material presence or influence at any time during the last two (2) years of Grantee's employment with the Company or (ii) the Company is engaged in or is preparing to engage in the Business as of the date of Grantee's termination of employment, which Grantee acknowledges includes the Americas, Europe, and Asia-Pacific, Middle East and Africa. For purposes of this Agreement, "Business" means the business of (i) supplying products and systems that manage and conserve the flow of fluids and energy into, through and out of buildings in the residential and commercial markets, (ii) designing, fabricating and distributing residential and commercial flow control products, HVAC and gas products, drainage and water re-use products as well as water quality products, and (iii) any other business the Company is engaged in or preparing to engage in as of the date of Grantee's termination of employment.

(c) The Grantee and the Company acknowledge and mutually agree that the continued vesting of the Performance Stock Units pursuant to Section 2(d) above following the Grantee's termination is sufficient consideration to enforce the non-competition provision set forth in Section 10(b) above. The non-competition provision set forth in Section 10(b) shall take effect on the date Grantee accepts this Agreement through the E*TRADE website.

11. Compensation Recovery Policy. Notwithstanding anything contained in this Agreement to the contrary, all Performance Stock Units awarded under this Agreement, and any shares of Stock issued upon settlement hereunder shall be subject to forfeiture or repayment pursuant to the terms of the Company's Compensation Recovery Policy as in effect from time to time, including any amendments necessary for compliance with the requirements of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

12. Miscellaneous.

(a) Notice hereunder shall be given to the Company at its principal place of business, and shall be given to the Grantee at the address on file with the Company, or in

either case at such other address as one party may subsequently furnish to the other party in writing.

(b) This Agreement does not confer upon the Grantee any rights with respect to continuation of employment by the Company or any Subsidiary. Further, Grantee understands and agrees that Grantee's employment with the Company is and shall remain at-will. Nothing in this Agreement is intended to modify the at-will nature of Grantee's employment relationship with the Company.

(c) Grantee acknowledges that Grantee has the right to consult with independent legal counsel prior to accepting this Agreement and that Grantee either consulted, or on Grantee's own volition chose not to consult, with such counsel.

**Exhibit 31.1**

**WATTS WATER TECHNOLOGIES, INC.**
**CERTIFICATION PURSUANT TO**

**SECTION 302 OF**

**THE SARBANES-OXLEY ACT OF 2002**

I, Robert J. Pagano, Jr., certify that:

1. I have reviewed this quarterly report on Form 10-Q of Watts Water Technologies, Inc.;

2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;

3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;

4. The registrant's other certifying officer(s) and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:

(a) Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;

(b) Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;

(c) Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and

(d) Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and

5. The registrant's other certifying officer(s) and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):

(a) All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and

(b) Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: May 7, 2026

/s/ Robert J. Pagano, Jr.
Robert J. Pagano, Jr.
*Chief Executive Officer*

**Exhibit 31.2**

**WATTS WATER TECHNOLOGIES, INC.**
**CERTIFICATION PURSUANT TO**

**SECTION 302 OF**

**THE SARBANES-OXLEY ACT OF 2002**

I, Diane McClintock, certify that:

1. I have reviewed this quarterly report on Form 10-Q of Watts Water Technologies, Inc.;

2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;

3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;

4. The registrant's other certifying officer(s) and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:

(a) Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;

(b) Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;

(c) Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and

(d) Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and

5. The registrant's other certifying officer(s) and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):

(a) All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and

(b) Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: May 7, 2026

/s/ Diane McClintock
Diane McClintock
*Chief Financial Officer*

**Exhibit 32.1**

**CERTIFICATION PURSUANT TO**
**18 U.S.C. SECTION 1350,**
**AS ADOPTED PURSUANT TO**
**SECTION 906 OF THE SARBANES-OXLEY ACT OF 2002**

The undersigned officer of Watts Water Technologies, Inc. (the "Company") hereby certifies that, to his knowledge, the Company's quarterly report on Form 10-Q to which this certification is attached (the "Report"), as filed with the Securities and Exchange Commission on the date hereof, fully complies with the requirements of Section 13(a) or 15(d), as applicable, of the Securities Exchange Act of 1934, as amended (the "Exchange Act"), and that the information contained in the Report fairly presents, in all material respects, the financial condition and results of operations of the Company. This certification is provided solely pursuant to 18 U.S.C. Section 1350 and Item 601(b)(32) of Regulation S-K ("Item 601(b)(32)") promulgated under the Securities Act of 1933, as amended (the "Securities Act"), and the Exchange Act. In accordance with clause (ii) of Item 601(b)(32), this certification (A) shall not be deemed "filed" for purposes of Section 18 of the Exchange Act, or otherwise subject to the liability of that section, and (B) shall not be deemed to be incorporated by reference into any filing under the Securities Act or the Exchange Act, except to the extent that the Company specifically incorporates it by reference.

Date: May 7, 2026

/s/ Robert J. Pagano, Jr.
Robert J. Pagano, Jr.
*Chief Executive Officer*

**Exhibit 32.2**

**CERTIFICATION PURSUANT TO**
**18 U.S.C. SECTION 1350,**
**AS ADOPTED PURSUANT TO**
**SECTION 906 OF THE SARBANES-OXLEY ACT OF 2002**

The undersigned officer of Watts Water Technologies, Inc. (the "Company") hereby certifies that, to his knowledge, the Company's quarterly report on Form 10-Q to which this certification is attached (the "Report"), as filed with the Securities and Exchange Commission on the date hereof, fully complies with the requirements of Section 13(a) or 15(d), as applicable, of the Securities Exchange Act of 1934, as amended (the "Exchange Act"), and that the information contained in the Report fairly presents, in all material respects, the financial condition and results of operations of the Company. This certification is provided solely pursuant to 18 U.S.C. Section 1350 and Item 601(b)(32) of Regulation S-K ("Item 601(b)(32)") promulgated under the Securities Act of 1933, as amended (the "Securities Act"), and the Exchange Act. In accordance with clause (ii) of Item 601(b)(32), this certification (A) shall not be deemed "filed" for purposes of Section 18 of the Exchange Act, or otherwise subject to the liability of that section, and (B) shall not be deemed to be incorporated by reference into any filing under the Securities Act or the Exchange Act, except to the extent that the Company specifically incorporates it by reference.

Date: May 7, 2026

/s/ Diane McClintock
Diane McClintock
*Chief Financial Officer*